FIN4202 Corporate Strategies and Financial Policies

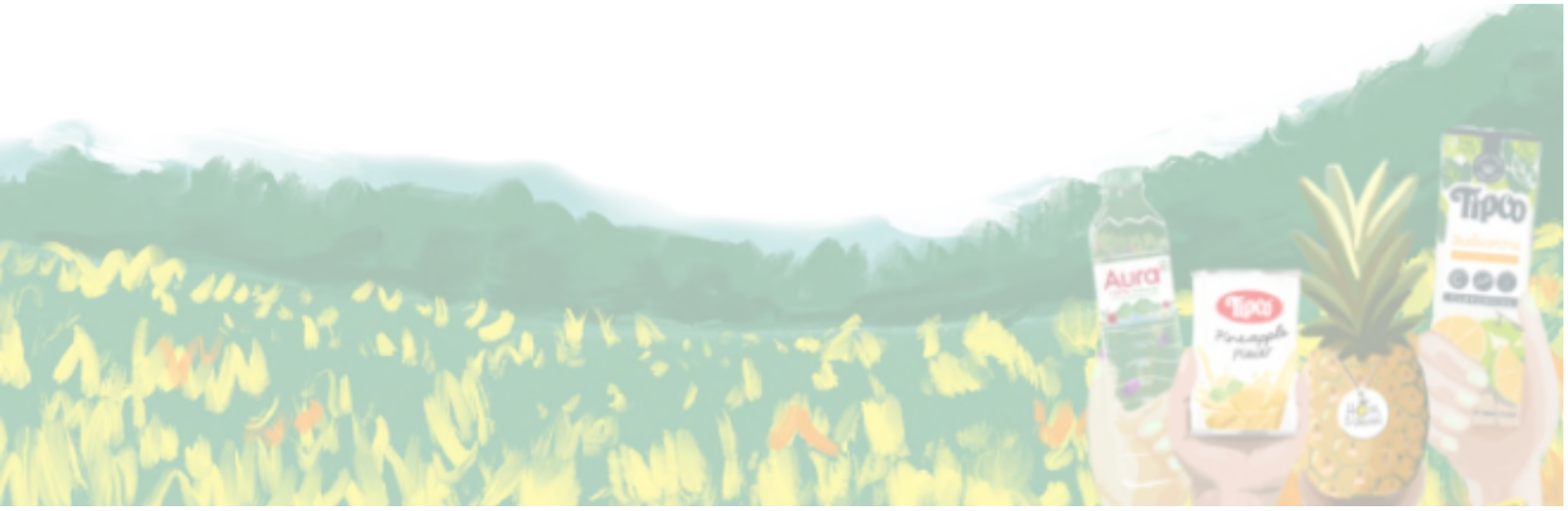
Section 401
Case 2: Tipco Foods (Pcl.)

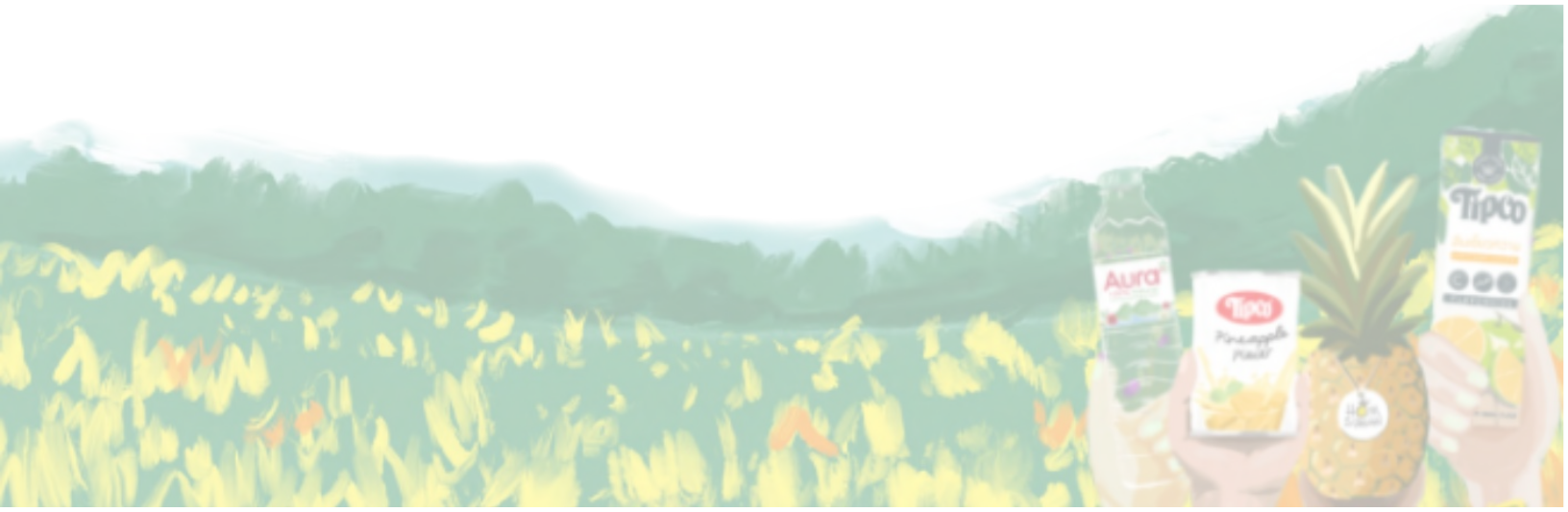
Submitted by Group B

A team of 9 students, including Tran Gia Huy

Submitted to
Dr. Chainarin Srinutchasart

Semester 1/2022
Martin de Tours School of Management and Economics
Assumption University of Thailand




Aura
Tipco
Tipco

Overview

In 2021, the market share of TIPCO is 6.1% share in the juice market in Thailand, which is considered to be the fourth rank of juice manufacturing in Thailand. The market size of juice in Thailand is 20 billion THB which is 2% growth from the year 2020. The expected value sales of juice is 5% CAGR to reach 25 billion baht in 2026. In terms of volume sales, 314 million liters; 1% growth from the previous year.

Tipco Foods Public Company Limited The company was established on 22 March 1976, and currently has a registered capital of 500 million THB with paid-up capital of 482.58 million THB. The company and its subsidiaries primarily produce and distribute processed fruits, fresh fruits, fruit juice, vegetable juice, natural mineral water, ready-to-drink beverages, food and drink shops, herbal extracts, and agricultural products for domestic and overseas markets. Based on the nature of the business the revenue structure of Tipco is separated into 3 product units: products from plants, vegetables and fruits, beverages, and other products, accounting for 35%, 64%, and 1% of total revenue respectively. For fruit and vegetable products, the main product is processed products which the company concentrates on developing products to serve the needs of big clients from overseas markets, in contrast to the beverage business that focuses on the domestic market, with the main product being fruit juices, which the company holds the No. 1 market share of 23% and the drinking water market, with the company's Aura mineral water product holding 18% market share (Appendix 1). The Company also operates in Health and agriculture products, which is Thailand's largest plant and herb extracts manufacturing business covering the supply of dried raw materials, grind powder, and produce extracts to be used as raw materials for food, beverages, drugs, and cosmetics businesses. Presently, the company has carried out different competitive strategy for each business unit, such as selecting high margin and high market customers for oversea market, developing packaging to increasing the variety of products to meet the needs of customers especially in beverage and processed products, as well as focusing on maintaining and controlling the quality of raw material, and expanding distribution channels to reach as many customers as possible.

Business Model Canvas (Appendix 2)

Customer Segments: Tipco mainly focuses on distributing to retailers like supermarkets, convenience stores, food service in these regions Americas: United States, Canada, and Latin American countries, Europe: Eastern European countries and the Russian Federation, Asia, Australia and New Zealand, Middle East countries. To further enunciate, TIPCO classified the product segmentation into 4 groups (premium market, medium market, economy market, and super economy market). Premium market segmentation is 100% concentrated in the juice, which is the highest market value of TIPCO. Medium market segmentation is 40%-90% concentrated in juice and is counted as third market value. Economy market segmentation is 20%-30% concentrated in juice, which is the second largest market value. Super economy segmentation is lower than 10% of juice concentration, which is counted as the fourth market value for TIPCO.

Customer Relationship: Domestically, Tipco achieved a satisfaction score of 4.79/5 by putting customers as its first priority. The firm aims to satisfy them best in production process, transportation, as well as dissemination and communication of product quality facts. Moreover,

comments are welcomed by the customer service department. For international customers, Tipco achieved a 99% satisfaction rate.

Channels: Tipco distributes through several channels, the main channels are offline channels, through distributors (wholesalers, retailers, and brand's booths). Moreover, "Squeeze by Tipco", located in hospitals, department stores, and workplaces, also retails Tipco Products and fresh juice from Tipco ingredients directly. For online channels, which was established in 2021 to aid transportation of goods, especially heavy goods such as Aura natural mineral water, Aura and Tipco fruit juice.

Revenue Streams: TIPCO revenue mainly comes from 3 main product segments - products of vegetables and fruit by 35.42% (860 million), beverages by 63.71% (1547 million) and others by 0.87%. For the Geographic segment, domestic sales accounts for 53.29% and exports are 46.71%. For vegetables and fruits only, Americas (United States, Canada, and Latin American countries) account for 44% of the export value. Europe (Eastern European countries and the Russian Federation) accounts for 21%. Asia, Australia, and New Zealand account for 18% while Middle East countries account for 17%. Also for the year 2021 the group has revenues from one major customer Iin beverage segment, which raised 1,473 million THB.

Value propositions: The corporation has factories adjacent to raw materials and employs a contract farming system to effectively transfer supplies to businesses. The raw material quality can be controlled, and shipping is inexpensive. Due to cheap shipping costs, this can help them lower the price when it reaches the consumer. Additionally, the business is able to provide clean products that have met international and European standards thanks to its relationships with farms. Certified by ISO 9002 This business gives consumers affordable prices while also delivering health advantages to those who use its products.

Key resources:

-Human resources: 74 executives, 258 general staff, 1,163 operational staff

-Physical resources: The total assets of the company is worth 1,611.49 million THB, most of which is for building, machinery and equipment and allocated as follow: 80.12 million in HQ, 169.15 in Chiangmai, 384.43 in Phetchaboon, 387.25 in Prachuap Khiri Khan, 590.53 in Ayutthaya. Its subsidiaries include Tipco Asphalt Public Company Limited, Tipco Pineapple Company Limited, Timco F&B Company Limited, and Tipco Biotech Company Limited.

-Types of raw materials used in production: will be different based on the product flavor. However, TIPCO claims that fruit juice in premium grade will be 100% made from that vegetables or fruits such as pomegranate juice, orange juice, lychee, rasberry, mangosteen, tangerine, aloe vera & grape, vegetables(mixes), fuji apple. The 40% concentration in the juice will be adjusted to add more water and other substances such as sweet substitutes made from Stevia, Xylitol, Erythritol, Monk fruit sweetener, and Yacon Syrup. In 20% and lower concentration grade products, water and sugar will be adjusted to the portion.

Key partners: Partnering with suppliers, distributors, and local farmers, Tipco emphasizes long-term relationships for them all. For instance, the firm provides knowledge to the farmers like soil

preparation, product preparation, weed control. The key partners are as follows: DSKH as one of Tipco's main distributors, Thanomwongse Service Co., Ltd distributes of petroleum products, constructor of buildings, roads and surface maintenance, Tipco Asphalt PCL produces and distributor of asphalt and distributor of fuel products, Siam Container Terminal Co., Ltd - Container Terminal Service, Shipping and Transportation Service, Ruamsapsin Co., Ltd - Purchase, provide, acquire, rent, lease, possess improve, use, manage and others any assets including benefit of such assets, Tipco Tower Co., Ltd - Rental office, contractor and civil works of all types, Thai Slurry Seal Co., Ltd -Road building and construction services, Marketing consultants Co., Ltd - Vehicle parking service and rent a car park building, Rattanajit Co., Ltd - Renting and operating real estate business which owned by itself or renting from others, not for housing purpose, and Jitzda Co.,Ltd - Renting and operating real estate business which owned by itself or renting from others, not for housing purposes.

Cost structure: As a nature of the business, TIPCO has mostly variable costs accounting for 57.11%. This mostly is from the cost related to production of goods and services (excluding staff cost and depreciation) and loss on exchange. The remaining 42.89% is fixed cost. The fixed cost is composed of salaries, wages and other employees' benefits (22.57%), depreciation (18.41%), amortization expenses (0.11%) and finance costs (1.8%).

Key activities: (Appendix3) For its fruit-related products, Tipco receives raw materials from the farms that it owns and others by transporting them to 3 plants in Chaing Mai, Wang Noi, and Ao Noi for the production process. The plants fully operate 11 months in a year as it leaves 1 month for maintenance. When the final products are ready, they are transported to DKSH distribution center to distribute to supermarkets, hyper markets, and convenience stores before reaching the hands of the final customers.

Competitors

Direct competitors: Foodstar Co., LTD (Deedo), Coca-Cola Thailand (Minute Maid), Malee Sampran Plc (Malee), Doi Kham Food Product Co., LTD (Doi Kham), Uni-President Thailand Co., LTD (Unif), Sappe Plc Co., LTD (SAPPE), House Osotspa Food Co., LTD (C-Vitt), Ichitan Group PCL (Bireley's), Asiatic Agro Industry (CocoMax)

Indirect competitors: Nobicha Group CO., LTD, Ochaya Group CO., LTD, Fresh me, The Fire Bear Group, Chapayom, KOI THE (THAILAND) COMPANY LIMITED, Cha-Thai (ChaTraMue), Doi Channg Caffe, Bon Café, Inthanin, Café Amazon, True Coffee, Starbuck.

STP and Marketing Mix (4 Ps)

STP

As it is most famous for juice production and retails, Tipco has 4 main segments which are Tipco Juice, Squeeze Juice by Tipco, SQ Squeeze and natural products which are including extract business ad agriculture business. The company sales in America, Europe, Asia and Middle East. The most famous product is Tipco juice box.

Marketing Mix 4P's



Product: Tipco has 3 main types of business which are consumer, business products, and OEM. Consumer products are divided into 4 types, which are drinks (mainly Tipco). Tipco is also well-known for its pineapple products like exported canned pineapple and pineapple juice, which are owned-developed to be especially naturally sweet and fresh. The consumer products are sold through retailers like those mentioned above and Squeeze Bars, which retails 25 kinds of smoothies and other brand products. The brand also exports dried fruits and some flavours of juice to 4 regions (America, Europe, Asia and Middle East). For business products, Tipco produces and retails extract products (ie. mangosteen peel extract, aloe vera powder and pinaber or pineapple powder) for medical items production. Lastly, its OEM business, which aims to be "one stop service", produces drinks according to order with high technology and high quality, proven by certifications of GMP, HACCP, HALAL, ISO22000 and FSSC 22000.

Price: For the consumer products, drinks price on the market average is around 50-70 Bath per 1,000ml so Tipco juice price is not much different from the others. But agriculture products such as Homsuwan pineapple is a bit higher than average market price since Tipco has a special development on its species for prominent tastes and since the market is in Tops and Gourmet markets, so cost is a bit higher than normal pineapple. Prices of products sold by Squeeze Bars are also on average, which is 70-150 THB per drink while Squeeze retails at 75-110 THB. Moreover, business products' price is also on average since Tipco can grow their own fruits which is a base of these medical extracts as business products. Lastly, OEM products are sold at price negotiated between Tipco and the customers, as the products are made-to-order. However, Tipco aims to align its prices with market prices as it is not the only manufacturer in this OEM field. In all segments, it is not the firm's tendency and possible position to raise price for revenue. The growth in revenue is usually derived from the increase in quantity sold.

Place: Tipco delivers products to retailers such as Makro, Tesco, Big C, 7-11, including owned stores (Squeeze Bar) and online platforms.

Promotion: Tipco has many promotions for both retailers and direct customers. Promotion for retailers is high volume with cheaper prices. Direct customers have bundle promotion, discount, and cooperates with other company

Value Chain Analysis (Appendix 4)

Primary Activity

Inbound Logistics

Tipco procures raw materials both internally and externally. The company has researched and developed Tipco Homsuwan pineapple from laboratory experiments and its own QC grading technology for its fruit processing business. For the external raw materials, it is mainly engaged with local farmers to support the agricultural products of the community while adhering to the same standard.

Operation

Currently the company is able to produce a variety of products with 5 manufacturing plants: fruit processing plants, a large herbal extract factory that is able to extract important substances in a variety of Thai herbs, a fruit juice factory that produces fruit juices in both

UHT and pasteurized, and Mae Rim natural mineral water factory where is a source of cold springs from the high mountains and a natural mineral water plant at Phu Nam Yod. The company also selects outsourced manufacturers who have standardized production and the newest production processes. Moreover, research and development department aims to achieve new opportunities with new diverse high-quality products.

Outbound Logistic
The company has built a distribution system from the manufacturing plant to the regional distribution centers and distributed products through small dealers to five department stores in Bangkok and shops across the country by trucks. Digital system aids delivery optimization and storage system, provided with the analysis of the needs of the retail customers to build efficiency and trust by selecting the delivery format that is suitable for the product, including contacting and selecting a quality transport company, comparing freight and shipping cost plan delivery time, checking the information of the container via the system as well as prepare the export documents to build confidence for customers.

Marketing and Sales
Management of corporate marketing (Master Branding) and marketing for products including marketing campaign plans to meet the needs of customers and consumers of all target groups.

Services
Tipco provides transportation services for delivery, which is a modern logistics management system that is applied for convenience improvement and enhancement of speed. Moreover, the company achieves high satisfaction with standards in the production process, transportation, as well as dissemination, and communication. Moreover, the firm provides customer service contact that welcomes all inquiries and complaints to further improve the value chain.

<u>Secondary Activities</u>

Firm Infrastructure
Tipco has 5 manufacturing plants including fruit processing plants, an herbal extract plant, a fruit juice plant, Mae Rim natural mineral water factory, and a natural mineral water plant at Phu Nam Yod. The company has installed 15 production lines for processed fruits that can produce processed fruits with a warehouse that holds up to 1.7 million standard chests.

Human Resource Management
To enable employees to continuously improve their skills, Tipco has established regulations for human resource management, whereby the company will place the right employee in the right position by providing regular assessments and training. The department is responsible for coordinating with various managers in employee development, as well as monitoring development results and keeping records.

Technology Development



Tipco focuses on the management of the production process with the effective utilization of resources in production by applying modern technology to the development of production methods and the creation process such as the use of cutting-edge technology.

Procurements
Tipco has both internal and external suppliers, which for the internal it is produced by the company, especially the pineapple for the processing business. For the external, the proportion between the domestic and international suppliers is 99:1 which indicates that the main supplier of the company is from the domestic which is the local farmer and other partners. Tipco attaches great importance to maintaining relationships with these partners such as providing price and income guarantees per rai for members of local farmers.

ESG

Tipco has received 5 scores for ESG and recorded in THIS. As of 2021, Tipco received many environmental contribution awards such as an honorary award for an outstanding role model entrepreneur in safety, occupational health, and work environment, and a certificate for the prevention and resolution of drug problems in the workplace. The company was able to cope with the problem and managed to prevent and resolve drug problems in the workplace according to the standard criteria for preventing and solving drug problems in the workplace.

Environment
Tipco is committed to energy reduction as can be seen from 2021 Solar Rooftop Installation Project that targets 5% reduction in energy usage. The company has also improved water usage efficiency by installing reusable RO system in fruit-production plants during the pineapple washing process and provided water treatment system before releasing it into the water stream to reduce water usage by at least 5 percent compared to 2021. To reduce production waste in fruit production process, the pineapple core is used to produce dried pineapple. In addition, pineapple pulp left over from production is used as a feed ingredient. These are expected to reduce waste by at least 5 percent compared to 2021. Finally, Tipco set the scope of greenhouse gas control by scheduling the operation of the machine according to the number of raw materials and selecting good quality coal to reduce the emission by at least 5% compared to 2021.

Corporate Social Responsibility
Tipco has provided a range of its products to the public sector, the private sector, and adjacent communities by 947,260 THB in total. During the pandemic, the company has implemented a donation program for Aura Mineral Water, Tipco fruit juice, and Andrographis Paniculata extract capsules for the infected ones. Regarding education, Super Kids Tipco Fruit Juice were granted to hill tribe children in Chiang Rai. The firm also donated Aura Mineral Water, and Tipco juice to Thammasat Hospital, Bamrasnaradura Institute, Ramathibodi Hospital, Rajavithi Hospital, Bang Bua Thong 2 Hospital and Department of Corrections Hospital. Mineral water are also donated to Khun Khan National Park, Mae Sap Subdistrict, Samoeng District, Chiang Mai Province, for their forest planting and forest fire prevention activities.



Corporate Governance

Tipco has established excellent corporate governance codes by implementing an effective, transparent, auditable, and fair management system. According to the results of National Corporate Governance's corporate governance evaluation of the firm for the year 2021, the company received an overall score of 92%, or the "excellent" level, which is better than the score from the prior year, which was 91%. Furthermore, the score was higher than the 84% national average of listed corporations.

Financial Analysis (Appendix 5)

For the past 3 years during covid, revenue growth has been negative, but showed a good recovering sign as it shifted from –30.14% in 2020 to –2.01% in 2021. The proportion of COGS per sales reduced to be 70% in 2021, from 89% in 2019, boosting gross profit margin to be higher, at 30% in 2021. SG&A per sales also decreased to be at 16% while depreciation per sales increased gradually to also be at 16%, making EBIT margin to improve to be at –3% last year, from –12% in 2020. Interest diminished through the years, earnings from associates always cover the loss and return the net income to be positive (at 606 million THB last year). Total assets of the firm increased through the years, with current assets being around 17% of total asset value (mostly contributed by inventory) while majority of the non-current assets being contributed by long-term investments. Debt to equity diminished each year and was at 35.30% in 2021. Majority of liabilities are current (at 75% in 2021), mostly contributed by short-term borrowings and account payables while most of the non-current liabilities are contributed by long-term debt. Total common equity increased each year from the increase in retained earnings and decreased in minority holdings. Overall, the firm has improved in return on equity, which is at 14.06% last year (18.62% improvement), similar to ROIC, which improved to be at –1.23% from –5.07% in 2020 despite being underperforming. Cash conversion cycles are longer each year due to longer days taken for inventory on hands. However, EPS has grown from –0.06 in 2019 to be at 1.26 in 2021. In brief, the firm is recovering from the impact of the economic downturn from the pandemic and expects a better performance in future years.

SWOT

Strengths of Tipco include strong value chain and strong relationship with suppliers as the brand has established good and long lasting relationships with the suppliers, retailers, and distributors as well as own agricultural farming. Moreover, the brand also achieved top tier positioning as one of the prominent player in juice market, at market share of 6.1% in 2021 with variety of its product lines and business units (for instance, from canned fruit products, fruit salad, water, dehydrated fruits, to juice). This is due to high quality organic fruit juices that are accepted by global standards. However, its **weaknesses** exist in accordance. For instance, high costs of goods sold and distribution that drives profit margins down, longer cash conversion cycle relative to peers that lie as comparative disadvantage due to internal operation of the firm. Moreover, the firm tends to pay dividends annually despite the risky movements in profitability, which is perceived to be non-sustainable. The management team also brought fear to individual shareholders as independent directors, auditors, and directors tend to gradually retire that negatively affects the firm's governance. Lastly, the prices of Tipco's products are generally higher than peers'. The

opportunities for Tipco are as follows. First, the domestic juice market tends to grow at CAGR of 3.1% for 2020-2025. Moreover, global growth in pineapple juice demand tends to be at 3.57% CAGR between 2022-2026 with the most consumption from United States, which is beneficial as Tipco also export as approximately 46% of revenue and United States is the brand's major export destination. Likewise, herbal market for extraction and agriculture businesses tend to also be on growth trend. Aside from that, growth in cannabis drink is high at 15% YoY from 2023-2025, which is captured by launch of cannabis drink from Tipco retailed via Squeeze stores. Additionally, consumers nowadays prefer sustainable packaging, which Tipco has achieved well, especially for its juice box packages. Next, the healthy trend tends to accelerate as 40% of people care more about their health according to Mckinsey. This implies higher and sifted demand towards organic juice among the alternative beverages like other high-sugar drinks. Lastly, THB depreciation, which has been for 3.4% against USD since the beginning of 2022, signifying opportunity to gain more from export for Tipco. For **threats**, rising sugar tax at 3x relative to 2021 (from 0.3 baht/liter for general juice to 1 baht and from 1 baht for exempted juice to 3 baht/liter). Likewise, wages tend to rise at 3.5%, to be in effect in 2023, which can worsen the high cost of goods sold for firm. Similarly, transportation cost tends to be higher as gas and fossil fuel price has risen significantly this year. The price and output of raw materials like fruits used in production are also reportedly unstable. Moreover, Thailand is in a recessionary economy as it still experiences fiscal deficit at 3.4% this year from 6.9% in 2021. Lastly, climate change, resulting in El Nino in the second half of 2022 affects deficit in rains that can negatively impact Tipco agricultural yields and output as raw materials as well.

Strategy Analysis

As the company is one of the most recognized juice and water brands in Thailand, the firm aims to reach as various types of customer as possible. So, its corporate strategy lies upon growth strategy with diversification in both concentric and conglomerate side to expand in both related and unrelated to the existing business. Moreover, the business strategy taken to support diversification strategy is differentiation by opening a new brand or subsidiary to gain as much customer awareness as possible. This includes Tipco products retail (Squeeze Juice bar by Tipco, August Urban Organic Eatery, Homsuwan Pina Pina), B2B business (Extract from plants and herbs by Tipco Biotech), Architecture business (To plant Homsuwan pineapple), and also product line expansion into healthy and sport lines.

Industry life cycle: In 2019, the alcohol industry grew up only 0.5%-1.5% but juice and drink industry went down to –10% since COVID-19. Before juice can be attractive and gain more customers by creating new flavors or new colors. But after covid-19 pandemic, consumer's behavior has obviously changed as people become more health conscious. Now it's not a flavor game but the compete with functions that are put in the drink to make more vitamins and nutrients.

Company life cycle: According to the financial statement we can see that the company profit is shrinking a bit, however our cost of goods sold have decreased. Furthermore, competition is fierce. This all suggests that our company is now in a maturity stage. We can extend our business life cycle by reinvesting in new emerging markets/new products reposition in a growth market.

PESTEL (Appendix 6)

Political

-Russia-Ukraine War: Due to Thailand's high dependence on fossil fuel and oil import and has a high energy intensity rate that indicates the efficiency of using energy for production, the impact from Russia-Ukraine war significantly affects the inevitable increase in price, causing overall rise in consumption goods. According to the measures of the Department of Internal Trade, prices of food and beverage products generally increase about 6% while vegetables and fruits increase by 14%, rice 9% and meat 7%, since the energy prices are the main cost of transporting agricultural products.

Economic

Inflation pressures consumers' purchasing power and rise consciousness in their spending. Annual average Thai inflation rate will be 5.9% in 2022, the highest in 24 years, driven by higher energy and commodity costs, reductions in government subsidies for living expenses, including transmission the increased cost of business to the consumer, which increases the price of goods and affect labor costs. Currently, the inflation is caused by both supply and demand sides as a result of the pandemic. Purchasing power tends to decline as household incomes tends to grow slowly in line with the unrecovered labor market, which will be a constraint to cope with the accelerated cost of living. Currently, one-third of Thai population suffer from insufficient income and expenditure problems.

Social

Consumers are moving toward health and wellbeing trend. Significant changes in consumers' demand for soft drinks have been brought about by the pandemic as they become more concerned on health effect from consumption and prefer organic and healthy food and beverages. Juice is anticipated to be take this as an opportunity. Moreover, demand for goods containing herbs with claims of functional health benefits also increases as a result of the pandemic. Customers are switching to functional beverages as part of a healthy diet because of the health concern caused by COVID-19. The usage of local herb extracts like ginger or lemongrass in drinks is rising in favor as COVID-19 impairs the health of an infected person's lungs, supporting by the traditional Thai consumer belief that these herbs strengthen the immune system and lungs.

Technology

In the line with the top players that set to develop healthier products and focus on their health and wellness benefits in their marketing, it is expected that Thai consumers will become increasingly well informed about nutrition due in part to rising internet usage. One area that is very likely to emerge in the category is the use of 100% cold-pressed technology to manufacture 100% juice. It is currently supporting an effort of the producer to offer the healthiest, most beneficial types of juice to consumers, bringing both large and small players are expected to want to tap into the industry.

Environment



El Niño and La Niña, together with climate change, are affecting agricultural productivity. The Institute of Water Resources Information reveals that the rain situation in Thailand may be uncertain because the sea surface temperature tends to turn from cold to hot with a La Niña condition and becoming more and more severe from the climate change, resulting in the high probability that the southern region will have floods in the beginning of the year. Later, there will be less rainfall than usual at the end of the year as a result of El Niño conditions causing drought that can affect crop shortages, rising the price of agricultural products.

Legal

This taxation has increased the price of these items while also drawing greater consumer attention to the excessive sugar content of juice in general, causing juice industry leaders to respond by launching reduced-sugar versions of their current products to innovate. However, it should be emphasized that all of Thailand's top juice suppliers already provided at least one variety of 100% juice before the sugar tax was implemented, and thus these products naturally do not include added sugar by law. But since 100% juice is expensive, people typically view these products as premium, and because of worries about the high sugar content of juice drinks and nectars, many people have continued to move away from juice in favor of healthier alternatives like bottled water, freshly squeezed juice, and fresh fruit. The sugar tax will rise 3x relative to 2021 (from 0.3 baht/liter for general juice to 1 baht and from 1 baht for exempted juice to 3 baht/liter). In addition to the tax laws, the loosen of penalization of cannabis retails create more room for growth in food and beverage industry. Currently, the market valuation of the cannabis industry Based on the projected hemp-marijuana cultivation area as of April 2022, Thailand has a plantation area of over 7,500 rai, with a market value of upstream to downstream products, totaling more than 28,000 million baht.

5 Forces Analysis (Appendix 7)

Bargaining power of customers (--)

The beverages excepting the water are the product that does not have a long shelf life, especially for fruit juice, so consumers are unable to purchase large quantities of product to store them. They also have low switching costs as there are many alternatives in the market with low differentiation. Therefore, their bargaining power is high.

Bargaining power of supplier (++)

Bargaining power depends on the amount of fresh fruit in the market. However, agricultural products' quality and quantity also depend on the natural environment and other uncontrollable factors and affect the price of raw materials. Preventing such problems can be done by producing and stockpiling goods in advance, although this can lead to high storage costs and can affect the quality of the goods, or by building strong relationships with suppliers, as Tipco strives to do. But in general, Thailand is an important tropical fruit producer and has many kinds of fruit. The raw materials for production are diverse, giving the suppliers to have a low bargaining power.

Threat of new entrants (--)

Threat of new entrants for the industry is low. The fruit juice market consists of a small number of major producers holding market share such as Tipco and Malee that have the expertise in

procurement of raw materials, so incoming new entrants' sales must be high enough for the cost invested to have an economy of scale to earn the advantages from the cost of the operation. In addition, new entrants must put the high effort in terms of marketing promotion sales in order to overcome the obstacles in the distribution channel which is high.

Threat of substitutes (-)
Substitute products are considered cheaper than 100% of all fruits juice (ie. Green tea, coffee, soft drinks). For the water or bottled water, substitutes are non-existent as nothing can replace drinking water, but there are various alternatives and brands are considered substitutable with very low brand loyalty.

Industry rivalry
The competition among the players in the beverage market is quite high, with the main producers' standpoints that trying to differentiate their own brand image in order to gain an advantage, and to create a barrier to the new competitors that could enter to take their market share. For example, in the fruit juice market where Tipco has tried to position themselves as a leader of all kinds of 100% fruit juices with a concentration of flavour, and Unif has selling point at mixed fruit and vegetable juices. Both of company is trying to catch the consumers' first thought during the purchasing with the final goal that the customers will continue to buy their products until it becomes a brand loyalty.

Strategy Formulation

From the SWOT analysis, the team conducted IFE, EFE, and GE matrix (Appendix 8) to access the plausibility of corporate strategy. The result shows that the firm can implement horizontal growth strategy from the IFE 2.62 score of and EFE score of 2.58. According to QSPM matrix (Appendix 9), where 3 alternative strategies are rated with weights and score, the juice & smoothies vending machine strategy scores the highest at 5.77 points, among the other two strategies which are skincare from fruit and cannabis extractions and alcoholic juice products.

The strategy is confirmed by TOWS matrix (Appendix 10), where the brand can implement mini-maxi (S-O) strategy to exploit the opportunity of growth in health strend to minimize the weaknesses of long CCC and high costs.

Problem & Opportunity

The main reason vending machine horizontal strategy is selected is due to the firm's current problem of slow growth in profit margins due to high COGS and SG&A and long CCC, together with the current opportunity of growth in healthy trend, and therefore, fresh juice market. For the problem, the firm tends to seek more growth through diversification and new products despite having high SG&A, COGS, and long CCC that restrict them to do so freely. Therefore, the team expects the vending machine strategy to boost sales and reduce days of inventory on hand and reduce cost of operation that does not yield sustainable profitability. The strategy is encouraged by the opportunity of rising healthy trend where consumers demand more organic, less sugar, more healthy food and beverages that are rationally priced, especially as an impact of health-

consciousness during the pandemic. This is demonstrated by the domestic juice market growth at CAGR of 3.1% CAGR for 2020-2025, similar to growth in vending beverage machine market, which is at 3% CAGR (2021-2026). The strategy capturing this opportunity tends to be reciprocated as multiple effect for Tipco's revenue and profitability as it is one of the major juice market participants with strong customer base over decades.

Strategy Details (Appendix 11)

Tipco aims to launch its own vending machines that provide fresh juice, smoothies, and other products like Squeeze. This means the growth in market presence can still be achieved without the need to establish new Squeeze stores, which take high capital as it hires more employees, more rent expense, and other expenses. This requires a lower cost of rent and no human capital for physical stores. The brand will launch 30 machines in metropolitan and business areas in Bangkok and main districts in perimeter provinces at the beginning of 2023 (Appendix 12). If the traffic and usage rate achieve expectations (70% capacity utilization of each machine) within the first 3 months, the brand will continue launching in sub districts in high-activity areas to reach 800 machines within 2023. During the year, 200 machines will be launched in each quarter according to VendingPlus capacity. After 2023, the brand plans to launch the machines in school, official, and residential areas up to 1,600 more machines. In total, 2,430 machines. In 2023, the number of drinks sold per day is estimated to be 67 cups according to 30 pilot test machines, yielding 48 THB per cup as weighted with different types of drinks offered by the machine. In 2024, it is estimated that the drinks per day will be slightly lower at 59 drinks per day, with the average revenue per drink for 53 THB, assuming constant price of all kinds of drinks. In 2025, the number of drinks sold per day will be 54 drinks, with revenue per drink at 57 THB. Cost of goods sold, according to the lowering trend in historical periods, is expected to be at 57% of revenue value. Rent is 3,000/ machine/ month while machines cost 200,000 each. The total cost (including vending machine cost, COGS, SG&A) will be around 2,210 million THB for the whole ERP for 2,430 machines.

Business Strategy chosen is customer focus, by product differentiation as Tipco is the first to launch vending machines for fresh quality juice. The brand focuses on satisfying demand for organic and fresh beverages and rising healthy trend in this fast-paced society. To aid the customers' convenience, the brand will digitalize payment and point collection method with the machines. Moreover, the brand will take market leader position as a competitive strategy as the first mover in juice market to offer automated fresh juice service for the customers.

Functional Strategy

1)Marketing Plan: With the same **products** with Squeeze bars, but add with the sales of fresh juice in flavor of the existing range the firm sells and the soda juice with the popular flavors. For the **price**, the vending machine product price will be lower than in Squeeze bars to maintain competitiveness and attract more customers. The price will range from the lowest (regular fresh juice), which is around 38 THB per drink. The soda juice price will be slightly higher at 45 baht.

The smoothie price varies on the topping and flavors required by the customer, but the price will be at maximum of 53 THB per drink. The **place** is mentioned in strategy details part. For the **promotion**, the aim for marketing plan is to raise awareness of the new launch and preference of customers. To do so, Tipco will hire a national star as a brand ambassador and launch put-of-home advertisements on BTS and other mass media. The live event will also be conducted in city activity area like Siam. With vending machine, official line @ will be launched for customers to collect points and redeem them for special discounts and gifts on special occasions like 2 free drinks on their birth week. One point will be granted per drink, every 12 points can be redeemed for one free drink. Customers can collect points, ask information, and leave comments through automated webpage presented in menu bar of the line @ account while customer service staff are ready to answer them in real-time as necessary. For the first 2 months of the launch, customers are encouraged to post reviews on their social media like IG, FB, and TWT with #TipcoFresh for 5% discounts given through code for the next purchase. Moreover, each week, the brand will randomly grant 50,000-baht prize and special Tipco juice giftbox for 10 lucky participants of the earlier campaign. All the activities and information will be posted regularly via the brand's official social media platforms.

2)Production Plan: Tipco plans to source vending machines from Vending Plus Company Limited at price of 2000,000 per machine (2,430 x 200,000 = 160 million baht in total). This includes semiannual maintenance during ERP provided by VendingPlus. The juice produced by the machine requires raw materials such as fruit extracts, cups, and ice that the brand already has.

3)Human Resources Plan: As the strategy includes outsourcing the production of vending machines from VendingPlus and the machines themselves do not need human staff in full operation, the firm expects to hire 20 more people in each geographic region (in total 80 more clerks) to fill up the materials needed for the machines as necessary.

4)Financial Plan (Appendix 13)

The AFN projected (with strategy) is positive in all years during ERP, signifying the need of external funding (Appendix 14). The firm must issue debt (10-year corporate bond) for 1 billion THB, for floatation cost 2% by KBank, with A- rating with the coupon cost of 4.35% annually in 2022. Then, the firm will borrow long-term loans for 600 million THB and 400 million THB in 2023 and 2024 respectively at the rate of MLR-2.13%, so it will be 3.21% and 3.56% respectively.

5)Budgeting (Appendix 15)

According to the declining trend of %COGS per sales of Tipco, COGS for vending drinks is expected to be 57% of sales price, including maintenance provided by VendingPlus. From the 57%, 2% will be profit sharing for the land owner and 5% will be shared to VendingPlus. According to the projected demand mentioned in strategy detail part, the COGS for 2023, 2024, and 2025 will be around 277 million THB, 783 million THB, and 1,149 million THB respectively. The cost of machine acquisition and installation, which is at 200 machines for each quarter during 2023-2025 ERP, will be 160 million THB for each year, or 480 million THB in total. Moreover, Tipco plans to pay 80 million THB as facilitation of R&D and patent signed over VendingPlus's

development to secure the rights over smoothies vending machine over the market. The initial outlay of the project is expected to be 100 million THB, 80 of which is paid to VendingPlus as their development cost, 6 million will be for the 30 pilot machines, the rest is for market research expense. The average rent in residential and commercial area is 3,000 baht/sq.m/month. The machine size takes approximately 1 sq.m. Therefore, total rent of all 2,430 machines over the ERP will be around 253 million THB. The costs of marketing and loyalty program is approximately 25 million THB per quarter during ERP. Therefore, the total marketing expense will be 300 million THB, including cost of market research. This can be further broken down into cost of live event in each quarter (sponsoring crowd concert of Thai singers and bands) for 9 million THB each quarter, 14 million THB for brand ambassadors activities for brand promotion, the rest is for supporting activities like philanthropic activities in the name of the brand. In total, the total cost for 2023, 2024, and 2025 are 576 million THB, 1,138 million THB, and 1,563 million THB respectively.

Impact to Valuation

Revenue breakdown

The revenue for Tipco is broken down by the business units, which is the revenue from plant, vegetable, and fruit, the revenue from beverage, and other revenue. To forecast the revenue without the strategy, the revenue from plant, vegetable, and fruit is divided into the main region which the market growth rate in each region is assumed to be constant at 3.10%, 3.40%, 3%, 3.90%, and 3.90% for North Americas, Latin America, Europe, and Asia respectively. The total market share for each region in 2021-2022 is derived from the total export revenue divided by total market size that was converted into THB and estimated to grow based on the IFE interpolation during the ERP (2023F-2025F). Afterward, the total revenue from each region is completed by multiplying the total market size by the total market share and combining all regions together to get the total revenue from plant, vegetable, and fruit businesses. For the revenue from the beverage business, the total market size growth rate is projected by the regression between the historical market size growth rate and the GDP growth rate from (2015-2021). Afterward, the weighted market share for the beverage of Tipco based on the proportion of sale revenue in each market is used to run the regression with the market size growth rate to find the forecasted market share at 2025F which after the adjusted with IFE it is equal to 34% and using the increase factor to move the market during the ERP to the target of 34%. Then the total revenue for the beverage business is assessed by multiplying the total market size with total market share, showing a CAGR at 12% During the ERP (2023F-2025F). For the revenue from the other income, it is estimated to grow based on the historical growth. Finally, all three components are combined, representing the forecasted of total revenue without the strategy, displaying at 14.95% CAGR (2023F-2025F).

Optimal WACC & Dividend Policy: Currently, the weight of debt is 25.24%. Cost of equity is accessed by capital asset pricing model at the risk-free rate of 2.6% and median peers' unlevered beta is 0.59. The risk premium of the firm is 4.75% and CRP of Thailand is 1.58%. The current cost of equity is 7.72%. To calculate cost of debt, interest paid to bank for current debt is of A- for

rating. Therefore, the after-tax cost of debt is 3.68% (tax is 20%). However, the optimal debt to capital according to relative benchmarking approach is 32%. The optimal is accessed by relative method due to the fact that the historical 4 years EBIT has been negative, therefore, the TIE ratio to be used for spread assessment from synthetic rating cannot be possible, therefore, it is impossible to attend cost of capital approach. (Appendix 16) To move to the optimal WACC, the firm must issue debt (10-year corporate bond) for 1 billion THB, for floatation cost 2% by KBank, with A-rating with the coupon cost of 4.35% annually in 2022. Then, the firm will borrow long-term loans for 600 million THB and 400 million THB in 2023 and 2024 respectively at the rate of MLR-2.13%, so it will be 3.21% and 3.56% respectively. For dividend, (Appendix 17), the augmented dividend payout calculation shows 60% possible payout, however, the firm would like to be conservative by shifting the payout ratio up to 50%. In detail, the payout ratio during ERP will be 61.4%, 52.47%, and 54.98% from 2023-2025 and pay special dividend of 150 million THB in 2025. Moreover, the firm will buyback shares every year during ERP by 250 million THB each year.

Optimal CCC (Appendix 18)

The current cash conversion cycle is 83 days. The target (peers' average) cycle is 48 days. The firm aims to match or over perform the peers' average by implementing the strategy and yield impact as follows.

For the inventory, the selling process to empty the inventory will be faster due to the emission of the distribution stage (not from factory to distribution center to retailers but from factory directly to vending machines and to final customers), therefore, the days inventory outstanding will be reduced by 5-7 days. The expected days will be 116 days, 112 days, 110 days for 2023, 2024, and 2025 respectively.

For account receivables, it will improve as TipGo assumed 5-day collection period due to the fact that the customers of vending machines is on cash basis. It takes 5 days as the firm must wait for the staff to collect the cash on-site, however, if online payment is implemented (for instance, through TrueMoneyWallet, cash will not be immediately paid into the system). So, the receivables will increase at the slower rate as compared to without-strategy assessment. The days receivables will be 51 days, 45 days, and 42 days for 2023,2024, and 2025 respectively.

For accounts payable, there is no major change due to the fact that the firm aims to remain existing relationships and terms of payment to the suppliers. The days payable will be 116 constant for the whole ERP.

Eventually, due to the reduction in days inventory outstanding and receivables days, the cash conversion cycle will be reduced to 52 days, 41 days, and 36 days for 2023, 2024, and 2025, which is better than peers' average for a slight.

Short-Term Funding

According to Boumol model, the firm accounting profit is calculated from annual revenue deducted by operating expense and interest expense. Then, the calculated optimal cash taken transaction cost as 0.015% of the operation expense and opportunity cost is as 2.6% interest rate,

the optimal cash ranges from 51 million THB in 2022 to 105 million THB due to the increase in expense to be in line with increase in the revenue (Appendix 19). With the minimum cash assumed to be a month of SG&A, the target cash ranges from 91 million THB to 186 million THB in 2022 and 2025 respectively. This can be reaffirmed by the cash budgeting where the collection of cash in deducted by purchase value, wage and rent to find net cash flow and cumulative cash, which will yield the same target cash as the Boumol model. Combined the target cash, minimum cash, and other optimized amount of working asset (inventory, receivables, and payables), the proportion of short-term asset relative to total asset ranges from 45.26% in 2022 to 57.47% in 2025. As the firm does not have accruals, short-term debt required for each year is calculated from short-term assets minus by accounts payable and other short-term liabilities, which will be at 17.78% of total assets in 2022 and rise to be at 21.14% in 2025, leaving the rest for long-term debt.

To be moderate in matching the funding of short-term assets by short-term liabilities and vice versa, short-term debt issuance and retirement must be made every year during the ERP (Appendix Debt Schedule With Strategy). Over the ERP, the total short-term debt will be 300 million.

DCF and Relative Valuation: The team take 3 year as ERP as the market is in maturity stage and the growth in the firm's profitability has been stable at best in the past 5 years. For the revenue with strategy (Appendix 20), all the revenue forecasted without strategy are held constantly to be added with the revenue from the "TIPGO Vending" that is assumed based on the assumption of the total machine installed multiply with the average of cup consumption from the customer behavior analysis and average price per cup which over the ERP (2023F-2025F) the revenue from the TIPGO Vending in the first year is estimated to be 487,206,720 Baht with the growth rate at 40.60% CAGR as the vending machine are planned to be expanded from 230 machine in the first year to be 830 machines at the end of ERP. Finally, with the strategy that includes the additional revenue from the TIPGO Vending the total revenue for Tipco is exhibited at 29.43% CAGR, showing an additional growth of 14.48% compared to the without strategy projection.

The cost of goods sold per sales will be reduce over ERP at approximately 2%-5% between 2023-2025 due to the reduction in transportation costs as the final products are shipped directly to the vending machines. SG&A per sales is assumed to be lower from 17% to 14% in 2025 due to the lower need of labor in the growth strategy as we have lower wage paid per sales. However, SG&A per sales will be slightly higher due to investment in promotional campaigns. With higher sales and lower costs, the EBIT to be significantly higher. With the same percentage of depreciation, the increase in asset (increase in vending machines at 6 year life) results in higher depreciation costs (Appendix 21). The tax payment remains at 20%. Incorporating the FCFF to DCF valuation discounted by the moving WACC towards optimal, the 1-year target price will be 15.18 THB/share or the upside of 73.46% (Appendix 22)

Relative Valuation: To reflect the sentiment of 49.99% of non-strategic shareholders, free float is weighted with forward EV/EBITDA multiples implied with KCE's EV/EBITDA through relative valuation, which yielded the result of 8.23 THB per share (Appendix 23). When weighted with free float and strategic holders proportion, the actual target price without strategy is -4.33 THB/ share while the target price incorporating strategy is 15.18 THB/ share or 73.46% upside.

Risks

There are seven main risks associated which those whose impacts can mitigate and one for acceptance (Appendix 24). First is the potential change in customers' behavior. This can be mitigated by advertising more on ready-to-drinks and providing more benefits information that customers can get to stimulate their demand despite such change. This will be implemented in line with customer behavior monitoring and studies, that can be further used for innovation and product customization to attract customers in all groups. The second risk is fluctuations in raw materials, which can be mitigated by specifying quality measurements of the acceptable levels in the contract in advance and help them grow educate them. In return, they will provide the goods at a cheaper price. This can benefit both farmers and TIPCO to control the quality. The third risk is the fluctuation in exchange rates, which can also be mitigated by conducting a forward contract to hedge those potential risks to reduce the foreign exchange risk. The fourth risk is waste from manufacturing, that can negatively impact the environment and cause a negative image of a company. This can be mitigated by conducting a close loop manufacturing to efficiently all raw materials at maximum use such as reducing, reusing, and recycling. The fifth risk is the change in interest rate, which can be mitigated by plain-vanilla swapping the interest rate from a floating rate to a fixed rate to reduce paying much on interest to financial institutions. Alternatively, the firm can also source loans from the bank with the lowest MLR. The next possible risk is the breakdown of vending machines, which can be mitigated by applying a regular maintenance schedule such as a quarterly period and contacting VendingPlus Co, Ltd, the provider of the machines, to facilitate the maintenance. The last risk is the risk of a change in price of vending machine's rental area, which can be mitigated by conducting a year contract that agrees to pay a specific amount and avoid the contract owner changing the condition during the contract period. For the price competition intensity, it can be accepted because the firm has a variability of product lines that can cover the mass market while the R&D team of TIPCO may help a company stay competitive by offering market insights, creating new services and products, or upgrading existing ones, such flavors, juice quality, and market trends. For example, TIPCO has launched a drink that relates to improving the immune system which extracted from Andrographis paniculate.

Risk Valuation

After doing the scenario analysis (Appendix 25) for the company, with the base case, with strategy the price of the company is 22.12 THB per share and for blue sky the price of the share can rise to 28.24 THB however with the grey sky the price of the share is going down to 13.87 THB per share, but they are upside for both cases compared to the current price of 8.75THB per share.

Sensitivity analysis is also conducted (Appendix 26). The first factor that we must be aware of is COGS in percentage of sales. It should not reduce by more than 10% or not higher than 81%. Also, SG&A should not more than 25%. So, we should control the cost from the production and selling goods.

After running the Monte Carlo Simulation (Appendix 27), there is 84.1% change of the price after using strategy to be upside and only 14.1% chance to be downside. The most likely price is 16.21

which is more than current price by 96.48%. So, it makes us confident that our strategy will improve the company. Also, it will be one evident to support our plan to use “Tip-Go vending machine”.

Contingency Plan

In case of failure of the implementation process, the firm will gradually slow down the growth of the bending machines (from the suburb areas first) after the year of slower expected demand. And focus more on marketing and promotion aspect first. If the promotion still does not work, the brand will call back all the vending machines and retail it at market price net depreciation for other brands to re-image the machine and use it for their own revenue. If there is no other brand to buy after Tipco. The brand will dispose of the machines and sell them as scraps and record earnings from such as other income.

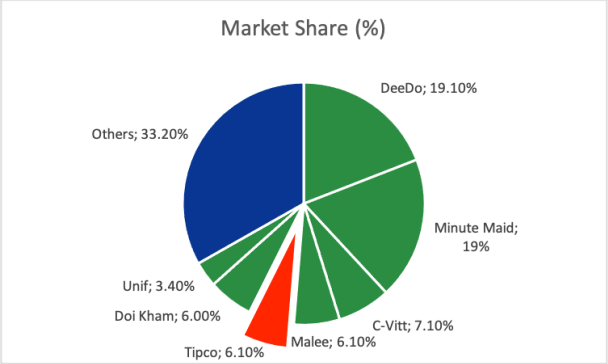
References

https://www.mckinsey.com/industries/healthcare-systems-and-services/our-insights/how-covid-19-has-changed-the-way-us-consumers-think-about-healthcare
https://www.bangkokpost.com/business/2351196/cannabis-valued-at-b43bn-by-2025
https://www.bangkokpost.com/business/2314258/baht-on-a-tightrope
https://www.propakasia.com/ppka/2021/download/webinar/2021/BeverageTrends.pdf

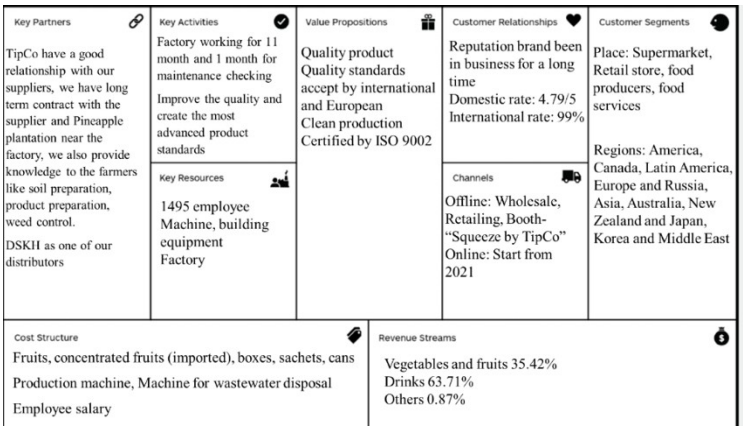
https://www.kaohoon.com/news/549789
https://www.krungsri.com/th/research/macroeconomic/EO/Economic-Outlook-2022#:~:text=In%20line%20with%20global%20trends,2021%20to%203.4%25%20in%202022.
https://www.moj.go.th/view/56613
https://www.dharmniti.co.th/layoff-law/
https://thunhoon.com/article/248385

Appendix

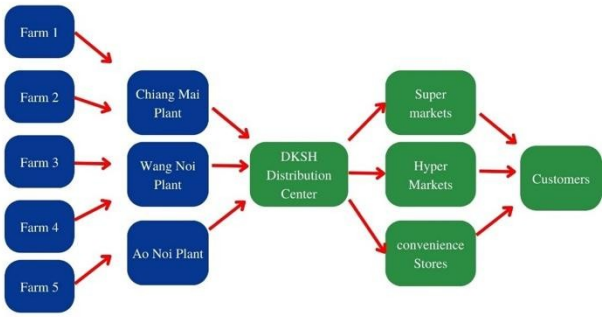
Appendix 1: Market Share Source: EuroMonitor



Appendix 2: BMC Source: Team Asessment



Appendix 3: Supply Chain Flow Chart Source: Annual Report 2021



Appendix 4: Value Chain Source: Annual Report 2021

Firm Infrastructure
Tipco has 5 manufacturing plants including fruit processing plants, an herbal extract plant, a fruit juice plant, Mae Rim natural mineral water factory, and a natural mineral water plant at Phu Nam Yod. The company has installed 15 production lines for processed fruits that can produce processed fruits with a warehouse that holds up to 1.7 million standard chests.

Human Resource Management
To enable employees to continuously improve their skills, Tipco has established regulations for human resource management, whereby the company will place the right employee in the right position by providing regular assessments and training. The department is responsible for coordinating with various managers in employee development, as well as monitoring development results and keeping records.

Technology Development
Tipco focuses on the management of the production process with the effective utilization of resources in production by applying modern technology to the development of production methods and the creation process such as the use of cutting-edge technology.

Procurements
Tipco has both internal and external suppliers, which for the internal it is produced by the company, especially the pineapple for the processing business. For the external, the proportion between the domestic and international suppliers is 99:1 which indicates that the main supplier of the company is from the domestic which is the local farmer and other partners. Tipco attaches great importance to maintaining relationships with these partners such as providing price and income guarantees per rai for members of local farmers.

Inbound Logistics
Tipco procures raw materials both internally and externally. The company has researched and developed Tipco Homsuwan pineapple from laboratory experiments and its own QC grading technology for its fruit processing business. For the external raw materials, it is mainly engaged with local farmers to support the agricultural products of the community while adhering to the same standard.

Operation
Currently the company is able to produce a variety of products with 5 manufacturing plants: fruit processing plants, a large herbal extract factory that is able to extract important substances in a variety of Thai herbs, a fruit juice factory that produces fruit juices in both UHT and pasteurized, and Mae Rim natural mineral water factory where is a source of cold springs from the high mountains and a natural mineral water plant at Phu Nam Yod. The company also selects outsourced manufacturers who have standardized production and the newest production processes. Moreover, research and development department aims to achieve new opportunities with new diverse high-quality products.

Outbound Logistic
The company has built a distribution system from the manufacturing plant to the regional distribution canters and distributed products through small dealers to five department stores in Bangkok and shops across the country by trucks. Digital system aids delivery optimization and storage system, provided with the analysis of the needs of the retail customers to build efficiency and trust by selecting the delivery format that is suitable for the product, including contacting and selecting a quality transport company, comparing freight and shipping cost plan delivery time, checking the information of the container via the system as well as prepare the export documents to build confidence for customers.

Marketing and Sales
Management of corporate marketing (Master Branding) and marketing for products including marketing campaign plans to meet the needs of customers and consumers of all target groups.

Service
Tipco provides transportation services for delivery, which is a modern logistics management system that is applied for convenience improvement and enhancement of speed. Moreover, the company achieves high satisfaction with standards in the production process, transportation, as well as dissemination, and communication. Moreover, the firm provides customer service contact that welcomes all inquiries and complaints to further improve the value chain.

MARGIN

Appendix 5: Ratios **red text refer to with strategy ratios Source: Team Assessment

Avrg		2018A	2019A	2020A	2021A	2022	2023	2024	2025
9%	%Revenue Growth		-15.36%	-30.14%	-2.01%	24.54%	19.03%	15.17%	10.64%
			-15.36%	-30.14%	-2.01%	24.54%	34.53%	34.40%	19.38%
64%	%COGS/sales	71.61%	77.38%	65.33%	56.93%	71.10%	72.10%	73.10%	74.10%
		85.48%	89.23%	77.40%	70.10%	71.10%	70.36%	69.21%	69.01%
13%	%SG&A	13.87%	11.85%	12.07%	13.17%	15.20%	16.72%	14.97%	14.42%
		0.00%	0.00%	0.00%	0.00%	15.20%	15.20%	15.20%	15.20%
10.22%	%NOP margin	-1.27%	-12.75%	-11.68%	-2.71%	-10.86%	-11.53%	-12.65%	-14.11%
		-1.27%	-12.75%	-11.68%	-2.71%	3.82%	3.87%	7.52%	8.09%
19%	%Tax	244.24%	-7.78%	0.71%	-3.73%	-22.89%	-33.00%	-55.56%	-119.66%
		244.24%	-7.78%	0.71%	-3.73%	1.92%	2.59%	6.54%	7.62%
8.59%	ROE		-0.74%	11.85%	14.06%	8.88%	7.50%	6.03%	4.57%
			-0.74%	11.85%	14.06%	16.16%	14.95%	16.58%	15.86%
7.07%	ROIC	1.31%	-8.63%	-5.07%	-1.23%	-6.97%	-9.14%	-12.93%	-21.70%
		1.31%	-8.63%	-5.07%	-1.23%	1.71%	2.14%	4.70%	5.26%
1.53	Current ratio	0.89	0.68	0.61	0.73	0.55	0.44	0.28	0.11
		0.89	0.68	0.61	0.73	0.99	0.95	1.07	1.22
1.10	Quick ratio	0.39	0.31	0.30	0.31	0.11	-0.04	-0.25	-0.47
		0.39	0.31	0.30	0.31	0.57	0.43	0.50	0.61
0.85	Debt to capital	32.44%	34.12%	29.11%	24.67%	21.05%	18.29%	16.86%	16.18%
		32.44%	34.12%	29.11%	24.67%	25.45%	20.08%	17.08%	14.30%
29.46%	Gross profit margin	14.52%	10.77%	22.60%	29.90%	13.70%	12.70%	11.70%	10.70%
		14.52%	10.77%	22.60%	29.90%	28.90%	29.64%	30.79%	30.99%
9.21%	Operating profit margin	-1.27%	-12.75%	-11.68%	-2.71%	-10.86%	-11.53%	-12.65%	-14.11%
		-1.27%	-12.75%	-11.68%	-2.71%	3.82%	3.87%	7.52%	8.09%
9%	Pretax profit margin	0.49%	5.23%	18.84%	16.37%	10.58%	7.53%	4.81%	2.46%
		0.49%	5.23%	18.84%	16.37%	25.11%	20.29%	20.45%	19.51%
6.97%	Net profit margin	0.92%	-0.82%	18.70%	24.01%	13.00%	10.02%	7.48%	5.41%
		0.92%	-0.82%	18.70%	24.01%	24.62%	19.77%	19.12%	18.02%

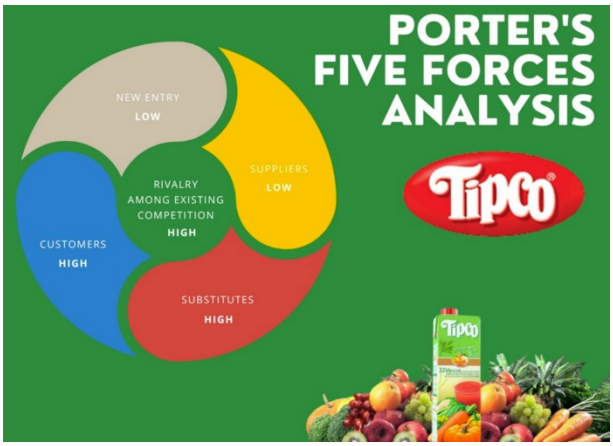
1.00	EPS	0.08	-0.06	1.00	1.26	0.85	0.78	0.67	0.53
			-0.06	1.00	1.26	1.60	1.73	2.25	2.53

Appendix 6: PESTEL Source: Team Assessment





Appendix 7: 5 Forces Source: Team Assessment



Appendix 8: IFE, EFE, and GE Source: Team Assessment

External Factor Evaluation (EFE) (Market attractiveness)			
Citeria	Weighted	Score	Total
Opportunities:			
Thai juice market growth	13.69%	4	0.55
Wolrd demand for pineapple+	5.38%	3	0.16
Herbal market for extraction and agriculture businesses	6.81%	4	0.27
Healthy trend	10.38%	4	0.42
Eco friendly packaging	4.13%	3	0.12
Cannabis's product trend	7.06%	4	0.28
TH Baht depreciation	4.63%	3	0.14
Threats:			
Sugar Tax	9.25%	1	0.09
Wage rising	8.94%	1	0.09
Recession	9.13%	1	0.09
Higher transportation cost	5.94%	1	0.06
Climate change (El Nino)	6.94%	2	0.14
raw material fluctuation	8.13%	2	0.16
Total	100.00%		2.58
Internal Factor Evaluation Matrix (IFE) (Business Strength)			
Citeria	Weighted		
		Score	Total
Strength:			
Strong value chain	13.38%	4	0.54
Strong relationship with the supply	12.25%	4	0.49
Well-established positioning (No.1 market share)	12.13%	4	0.49
Globally accepted	6.06%	3	0.18
Varity of product and business unit	9.63%	3	0.29
Weakness:			
High cost of good sold & distribution	10.63%	1	0.11
Longer Cash conversion cycle compare with peers	9.88%	1	0.10
Disapproriate financial decision(dividend)	8.56%	1	0.09
Instability in management	7.63%	2	0.15
Higher price than compititor	9.88%	2	0.20
Total	100.00%		2.62

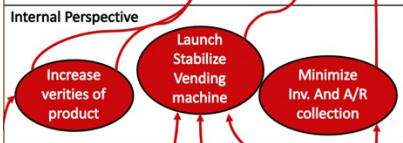
Appendix 9: QSPM Source: Team Assessment

Strategic Alternatives	Weight%	Skincare From Fruit & Cannabis Extractions		Juice & Smoothies Vending Machines		Alcoholic Juice Products	
Key Factors		Score	Total	Score	Total	Score	Total
Strengths							
S1-Strong value chain	13.38%	4	0.54	4	0.54	4	0.54
S2-Strong relationship with suppliers	12.25%	4	0.49	4	0.49	4	0.49
S3-Well-established positioning	12.13%	4	0.49	4	0.49	4	0.49
S4-Globally accepted high quality	6.06%	3	0.18	2	0.12	3	0.18
S5-Various products and business units	9.63%	1	0.10	3	0.29	1	0.10
Weaknesses							
W1-High COGS and SG&A	10.63%	1	0.11	4	0.43	1	0.11
W2-Longer CCC than peers	9.88%	2	0.20	3	0.30	2	0.20
W3-Disappropriate financial decision	8.56%	1	0.09	1	0.09	1	0.09
W4-Instability in management	7.63%	1	0.08	1	0.08	1	0.08
W5-Higher price than competitors	9.88%	3	0.30	2	0.20	2	0.20
Sum Weight	100.00%						
Opportunities							
O1-Thai juice market growth	13.69%	1	0.14	4	0.55	1	0.14
O2-Rising global pineapple juice demand	5.38%	1	0.05	1	0.05	1	0.05
O3-Herbal market for extraction and agriculture	6.81%	4	0.27	3	0.20	3	0.20
O4-Rising healthy trend	10.38%	4	0.42	4	0.42	3	0.31
O5-Preference on eco-friendly packaging	4.13%	2	0.08	2	0.08	2	0.08
O6-Rising cannabis beverage growth	7.06%	1	0.07	4	0.28	1	0.07
O7-THB depreciation	4.63%	1	0.05	1	0.05	1	0.05
Threats							
T1-Rising sugar tax	9.25%	1	0.09	2	0.19	2	0.19
T2-Rising wages	8.94%	2	0.18	4	0.36	2	0.18
T3-Recessionary economy	9.13%	2	0.18	2	0.18	2	0.18
T4-Higher transportation costs	5.94%	1	0.06	2	0.12	1	0.06
T5-Climate change (El Nino)	6.94%	1	0.07	3	0.21	1	0.07
T6-Raw material price & output fluctuations	8.13%	1	0.08	1	0.08	1	0.08
Sum Weight	100.00%						
Sum of Total Attractiveness		4.29		5.77		4.11	

Appendix 10: TOWS Source: Team Assessment

TOWS Matrix		External	
		Opportunities	Threats
Internal	Strengths	SO1 Market more/new prominent juice products to capture growth	ST1 Lower cost from efficient value chain to offset higher tax
		SO2 Export high quality pinapple products more	ST2 Pass wage cost to customer for high quality products
		SO3 Achieve low cost-high quality cannabis products through value chai	ST3 Stabalize raw material through negotiation with suppliers
	Weaknesses	WO1 Export more to increase margin despite high COGS and SG&A	WT1 Optimize costs to stabalize profit margins
		WO2 Stabalize sales and management	WT2 Optimize operation and production
		WO3 Invest in high growth market and sustain market average price	WT3 Negotiate with suppliers to optimize inventory

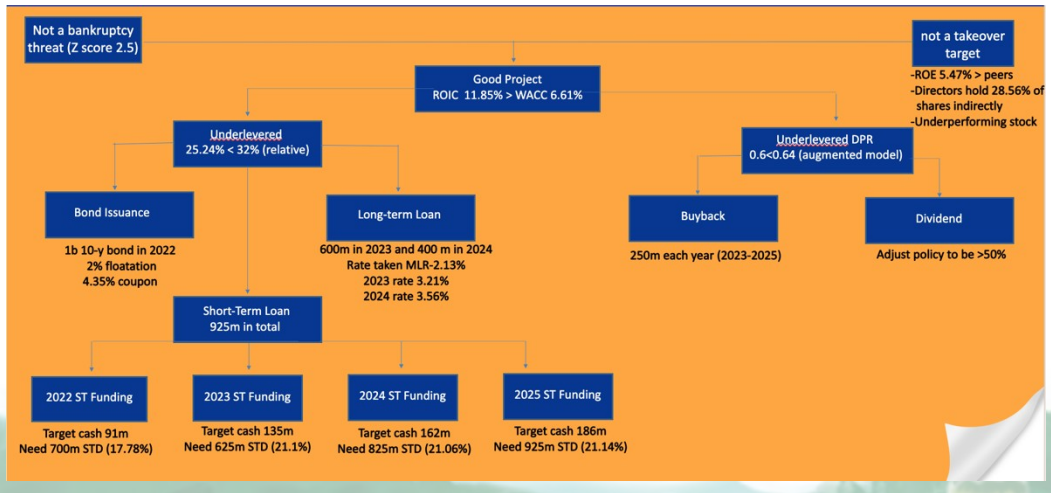
Appendix 11: Strategy Map Source: Team Assessment

Strategy Objective	Objective	KPI	Targets	Project	CAPEX
Financial perspective 	- Increase in the revenue, lower the cost of good sold lead to higher gross profit. -Optimal CCC make every stakeholder along the supply chain satisfy	% change of revenue % change of COGS % change of SG&A % change of EBIT	2 digits growth of revenue year on year 10% reduce in COGS per sales 3% lower SG&A per sales	TIPGO vending	-
Customer Perspective 	-Improve customer perception with the vending machine -Make vending machine available in major populated area with accountable function -Serving Cheap, Fast, Fresh, and Testy product to customer	-No. of cup sales by the vending machine -No. of machine within the area - Customer response review	-At least 27 sold per day -1 TIPGO per 5 km radius - Customer response review	TIPGO vending	480 M
Internal Perspective 	-Launching new product from Tipco and TIPGO -Launch vending machine 200% Minimize no. of machine breakdown -Minimize Account receivable and inventory	-Variety of the product increase -Lower maintenance time - Reduce in A/R and Inv. Day	-2 new product per year -Less than 1 Hour of breakdown per machine -Inv - 48 | A/R - 38	-R&D department research -Monitoring room -TIPGO	Operating Expense
Organizational Capacity 	-Conduct market research on TIPGO BU -Supply chain relationship skill -Skill full employee with capability to finish their task.	-Attractiveness score of the project (QSPM) -Feedback after operation -Productivity of crew member	-More than other -80% or more satisfaction score -Handle 10 locations per day	- Conduct market research on TIPGO BU -Negotiate with Vending+ -Training Session	100 M

Appendix 12: Gantt Chart

Task	Start	End	2022 Q4	2023 Q1	2023 Q2	2023 Q3	2023 Q4	2024 Q1	2024 Q2	2024 Q3	2024 Q4	2025 Q1	2025 Q2	2025 Q3	2025 Q4
Market research	1-Sep	30-Sep													
Vending+ negotiation	1-Oct	7-Oct													
Introducing new product	On going process														
Mechine prototype construction	8-Oct	31-Dec													
Market testing (30 Pilot vending machines)	1-Jan	31-Mar													
Debt issuance	Multi issuance														
Maketing campaign	Q1 - on ward														
Install vending machines 200/quarter	Q2 - on ward														

Appendix 13: Financial Plan Source: Team Assessment



Appendix 14: AFN Source: Team Assessment

AFN (Unit in million)	2018A	2019A	2020A	2021A	2022E	2023F	2024F	2025F
Sales	4,356,026,410.00	3,687,087,231.00	2,575,811,322.00	2,523,977,984.00	3,143,274,584.67	4,228,531,498.33	5,682,973,797.48	6,784,412,420.37
change in sales		(668,939,179.00)	(1,111,275,909.00)	(51,833,338.00)	619,296,600.67	1,085,256,913.66	1,454,442,299.15	1,101,438,622.90
Total Asset	7,076,574,427.00	6,669,002,920.00	6,487,259,025.00	6,438,104,720.00	7,813,882,191.98	8,648,692,749.58	9,929,406,370.15	10,315,210,526.33
Total Asset per sales	1.62	1.81	2.52	2.55	2.49	2.05	1.75	1.52
Spontaneous Liabilities	800,821,636.00	609,728,130.00	429,728,365.00	483,824,196.00	733,080,553.91	945,766,855.32	1,249,781,563.65	1,487,608,374.29
Spontaneous Liabilities per Sale	0.18	0.17	0.17	0.19	0.23	0.22	0.22	0.22
Profit margin	0.01	(0.01)	0.19	0.24	0.25	0.19	0.18	0.17
Dividend payout ratio(augment	-	-	-	-	0.32	0.31	0.24	0.21
Required increase in asset		(1,086,723,872.12)	(2,010,015,445.18)	(130,543,835.59)	1,579,687,458.90	2,697,845,652.02	2,974,797,414.25	1,924,455,763.52
Spontaneous Increase in liability		(122,979,274.52)	(183,770,043.79)	(8,647,471.73)	118,713,666.21	253,105,708.07	325,305,208.21	242,224,886.73
Internal source of fund		(30,071,869.00)	481,643,358.00	606,058,910.00	521,343,753.68	564,394,240.92	798,274,079.50	932,168,990.21
Debt repayment					805,161,998.83	268,942,545.83	426,442,545.83	(273,557,454.17)
AFN		(933,672,728.59)	(2,307,888,759.39)	(727,955,273.86)	134,468,040.18	1,611,403,157.20	1,424,775,580.70	1,023,619,340.75

Appendix 15: Budgeting Source: Team Assessment

Assumption vending machine					
Initial outlay	100,000,000.00				
Fixed cost		Variable cost			
cost per machine(include install	200,000	rent per sqm	3,000		
Cost of service one machine per	3000	COGS	57%	include,ingredient, cup, water, electicity,internet,	
Marketing expense	25,000,000.00	per quarter			
Machine installation capacity	200	per quarter			
For the year 2023	Q1/2023	Q2/2023	Q3/2023	Q4/2023	Total in 2023
Total No. of machine installed	230	430	630	830	830
No. of cup sold by vending mach	603,000	1,989,900	3,195,900	4,401,900	10,190,700
Revenue from vending machine	28,828,800	95,135,040	152,792,640	210,450,240	487,206,720
CAPEX	40,000,000	40,000,000	40,000,000	40,000,000	160,000,000
COGS	16,432,416	54,226,973	87,091,805	119,956,637	277,707,830
SG&A	29,140,000	32,740,000	36,340,000	39,940,000	138,160,000
For the year 2024	Q1/2024	Q2/2024	Q3/2024	Q4/2024	Total in 2024
Total No. of machine installed	1,030	1,230	1,430	1,630	1,630
No. of cup sold by vending mach	4,938,300	6,000,300	7,062,300	8,124,300	26,125,200
Revenue from vending machine	259,721,100	315,575,100	371,429,100	427,283,100	1,374,008,400
CAPEX	40,000,000	40,000,000	40,000,000	40,000,000	160,000,000
COGS	148,041,027	179,877,807	211,714,587	243,551,367	783,184,788
SG&A	43,540,000	47,140,000	50,740,000	54,340,000	195,760,000
For the year 2025	Q1/2025	Q2/2025	Q3/2025	Q4/2025	Total in 2025
Total No. of machine installed	1,830	2,030	2,230	2,430	2,430
No. of cup sold by vending mach	8,407,800	9,379,800	10,351,800	11,323,800	39,463,200
Revenue from vending machine	429,732,000	479,412,000	529,092,000	578,772,000	2,017,008,000
CAPEX	40,000,000	40,000,000	40,000,000	40,000,000	160,000,000
COGS	244,947,240	273,264,840	301,582,440	329,900,040	1,149,694,560
SG&A	57,940,000	61,540,000	65,140,000	68,740,000	253,360,000

Appendix 16: Moving WACC Source: Team Assessment

Wacc 4 (relative wacc)								
	MALEE	ICHI	SAPPE	LST	SSC	SFP	TACC	
				2021				
Weighted								Average
D/E ratio	435.11%	42.41%	28.00%	50.00%	36.00%	40.00%	44.00%	48.85%
Weight of equity	18.69%	87.12%	24.51%	73.76%	70.42%	77.53%	69.74%	67.18%
Weight of debt	81.31%	12.88%	75.49%	26.24%	29.58%	22.47%	30.26%	32.82%
Cost of equity								
Risk free	2.60%	2.60%	2.60%	2.60%	2.60%	2.60%	2.60%	2.60%
industry average unlevered beta	0.59	0.59	0.59	0.59	0.59	0.59	0.59	58.65%
tax rate	20.00%	14.68%	20.53%	20.00%	17.31%	20.00%	20.00%	18.75%
DELTA levered beta	1.09	1.01	1.06	0.79	0.79	0.37	0.40	73.67%
Average market return	7.35%	7.35%	7.35%	7.35%	7.35%	7.35%	7.35%	7.35%
Risk premium	4.75%	4.75%	4.75%	4.75%	4.75%	4.75%	4.75%	4.75%
Country risk premium	1.58%	1.58%	1.58%	1.58%	1.58%	1.58%	1.58%	1.58%
Cost of equity	9.36%	8.98%	9.22%	7.93%	7.93%	5.94%	6.08%	7.68%
Cost of debt								
Risk free	2.60%	2.60%	2.60%	2.60%	2.60%	2.60%	2.60%	2.60%
Interest coverage ratio		356.25	351.75	59.33	10.22	118.04	265.57	
Spread	14.00%	0.75%	0.75%	0.75%	0.75%	0.75%	0.75%	0.75%
Cost of debt	16.60%	3.35%	3.35%	3.35%	3.35%	3.35%	3.35%	3.35%
tax rate	20.00%	14.68%	20.53%	20.00%	17.31%	20.00%	20.00%	18.75%
After tax cost of debt	13.28%	2.86%	2.66%	2.68%	2.77%	2.68%	2.68%	2.72%
WACC(weighted cost of capital)	12.55%	8.19%	4.27%	6.55%	6.41%	5.21%	5.05%	5.95%

Appendix 17: Dividend Source: Team Assessment

Dividend Policy								
Net income	39,877,015	(30,071,869)	481,643,358	606,058,910	771,343,754	814,394,241	1,048,274,080	1,182,168,990
Optimal Wcs					60%	60%	60%	60%
Capex	-	-	-	-	357,183,680.97	475,204,587.18	552,396,805.79	642,128,126.02
Augmented Div	39,877,015.00	(30,071,869.00)	481,643,358.00	606,058,910.00	557,033,545.10	529,271,488.61	716,835,996.03	796,892,114.60
Augmented DIV Payout ratio	605.08%	-786.32%	35.07%	70.070%	72.216%	64.990%	68.382%	67.409%

Appendix 18: CCC Source: Team Assessment

NOWC_	2018A	2019A	2020A	2021A	2022E	2023F	2024F	2025F
Account receivable	562,332,118	467,172,764	368,818,881	353,251,481	451,077,105	594,825,670	696,209,072	777,085,781
A/R day	47	51	59	52	52	51	45	42
Inventory	986,474,903	679,465,248	500,542,233	652,076,499	735,304,932	946,285,104	1,207,835,218	1,412,292,176
Inv day	115	107	128	146	120	116	112	110
Account payable	790,128,580	605,257,788	429,728,365	482,366,345	731,622,703	944,309,004	1,248,323,713	1,486,150,523
A/P day	92	89	112	116	116	116	116	116
Operating working capital	758,678,441	541,380,224	439,632,749	522,961,635	454,759,334	596,801,769	655,720,578	703,227,434
CCC	70	68	75	83	57	52	41	36

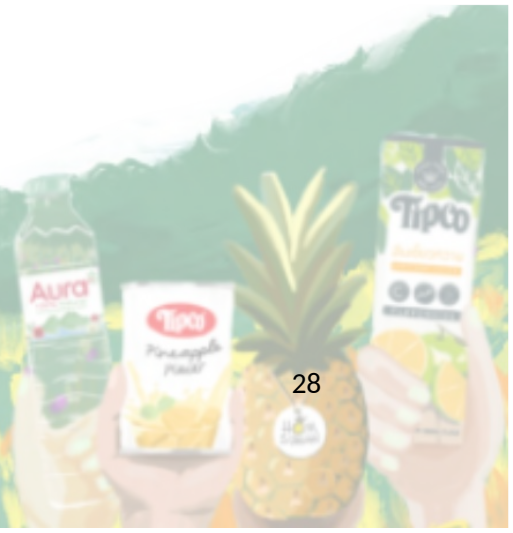
Appendix 19: Moderate Funding Source: Team Assessment

	2018A	2019A	2020A	2021A	2022	2023	2024	2025
Target cash	83,766,325	103,333,444	90,995,452	77,959,741	91,161,720	134,860,559	162,310,590	186,593,540
Min cash	36,595,053	45,143,355	39,753,247	34,058,327	39,825,885	58,916,627	70,908,742	81,517,251
Account receivable	562,332,118	467,172,764	368,818,881	353,251,481	451,077,105	594,825,670	696,209,072	777,085,781
Inventory	986,474,903	679,465,248	500,542,233	652,076,499	735,304,932	946,285,104	1,207,835,218	1,412,292,176
Other Assest	88,320,489	63,544,123	55,604,627	36,163,537	36,163,537	36,163,537	36,163,537	36,163,537
Total S-T asset	1,757,488,889	1,358,658,934	1,055,714,440	1,153,509,585	1,353,533,179	1,771,051,498	2,173,427,159	2,493,652,285
	43.23%	38.70%	35.45%	41.97%	45.26%	50.74%	54.84%	57.47%
Net PP&E	2,287,283,380	2,136,459,223	1,910,737,529	1,583,253,690	1,625,232,784	1,708,040,565	1,778,309,245	1,834,001,972
Others	20,471,350	15,175,467	11,873,551	11,638,975	11,638,975	11,638,975	11,638,975	11,638,975
Total L-T assest	2,307,754,730	2,151,634,690	1,922,611,080	1,594,892,665	1,636,871,759	1,719,679,540	1,789,948,220	1,845,640,947
	56.77%	61.30%	64.55%	58.03%	54.74%	49.26%	45.16%	42.53%
	2018A	2019A	2020A	2021A	2022	2023	2024	2025
Account payable	790,128,580	605,257,788	429,728,365	482,366,345	731,622,703	944,309,004	1,248,323,713	1,486,150,523
Accruals	-	-	-	-	-	-	-	-
Others	89,698,120	65,325,768	90,413,037	90,290,411	90,290,411	90,290,411	90,290,411	90,290,411
	21.64%	19.10%	17.46%	20.84%	27.49%	29.64%	33.77%	36.33%
Total S-T debt	877,662,189	688,075,378	535,573,038	580,852,829	531,620,065	736,452,082	834,813,036	917,211,351
	21.59%	19.60%	17.98%	21.13%	17.78%	21.10%	21.06%	21.14%
	18.16%				931,307,561			
Optimal Wd					(399,687,496)			
32.82%	X = % LT debt							
% Long term debt	4.07%	7.45%	9.62%	5.15%	-3.69%	-6.55%	-12.04%	-15.43%
% Equity	52.69%	53.85%	54.93%	52.88%	58.42%	55.81%	57.20%	57.97%
Long term debt	165,614,429	261,397,963	286,624,822	141,414,238	(110,222,746)	(228,506,812)	(477,177,948)	(669,683,829)
Equity	2,142,140,301.43	1,890,236,727.12	1,635,986,258.33	1,453,478,427.04	1,747,094,504.39	1,948,186,352.55	2,267,126,167.61	2,515,324,775.86
				ST needed	(399,687,496)	8,173,248	(6,687,071)	162,489,971
				LT needed	(1,357,729,906)	(1,947,985,245)	(2,509,877,653)	(2,515,604,808)

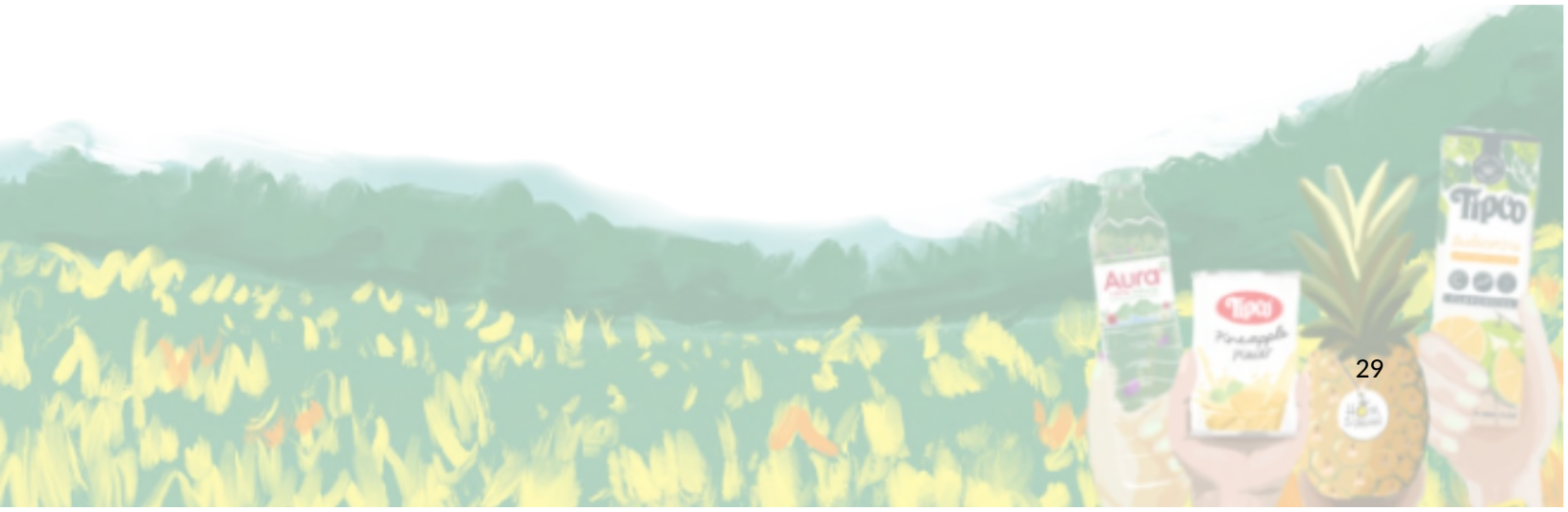
Appendix 20: Revenue With Strategy Source: Team Assessment

Buyer behavior analysis from 30 pilot test machine		
Primetime	Average No. of Cup	Average revenue per Cup
-Early morning drink(5-8)	8	38
-Breafast hour (9-11)	15	48
-Lunch (11-13)	12	50
-Afternoon(14-17)	20	51
-Dinner(18-20)	6	48
-Late night drink(21-4)	6	45
Total	67	48
Buyer behavior analysis from 2023 data collection		
Primetime	Average No. of Cup	Average revenue per Cup
-Early morning drink(5-8)	7	41
-Breafast hour (9-11)	13	53
-Lunch (11-13)	10	55
-Afternoon(14-17)	19	58
-Dinner(18-20)	5	53
-Late night drink(21-4)	5	42
Total	59	53
Buyer behavior analysis from 2024 data collection		
Primetime	Average No. of Cup	Average revenue per Cup
-Early morning drink(5-8)	6	42
-Breafast hour (9-11)	12	51
-Lunch (11-13)	10	53
-Afternoon(14-17)	18	55
-Dinner(18-20)	4	50
-Late night drink(21-4)	4	44
Total	54	51

Appendix 21: CAPEX Source: Team Assessment



CAPEX & Depreciation	2018A	2019A	2020A	2021A	2022E	2023F	2024F	2025F
Gross PP&E					1,940,437,371	2,415,641,958	2,968,038,764	3,610,166,890
NET PP&E	2,287,283,380	2,136,459,223	1,910,737,529	1,583,253,690	1,625,232,783.79	2,023,245,152.37	2,485,910,637.92	3,023,731,490.79
Revenue	4,356,026,410	3,687,087,231	2,575,811,322	2,523,977,984	3,143,274,585	4,228,531,498	5,682,973,797	6,784,412,420
Increase in revenue	(595,973,590)	(668,939,179)	(1,111,275,909)	(51,833,338)	619,296,601	1,085,256,914	1,454,442,299	1,101,438,623
Reported CAPEX in CF	(531,980,077)	(172,290,865)	(90,501,255)	(62,684,274)				
PP&E/Revenue	52.51%	57.94%	74.18%	62.73%				
Growth CAPEX					100,000,000	160,000,000	160,000,000	160,000,000
% Depreciation & Amortization	12.04%	14.23%	17.86%	20.84%	16.24%	16.24%	16.24%	16.24%
Reported Depreciation	275,374,665	325,435,021	381,670,305	398,273,687				
Maintenance capex					257,183,681	315,204,587	392,396,806	482,128,126
Total CAPEX					357,183,681	475,204,587	552,396,806	642,128,126
Depreciation Expense					315,204,587	392,396,806	482,128,126	586,435,399



Appendix 22: DCF Source: Team Assessment

With Strategy						
FCFF		2021A	2022E	2023E	2024E	2025E
Unlevered Free Cash Flow						
EBIT		(68,285,887)	120,173,976	163,796,899	427,168,119	549,137,683
Depreciation & amortization		0	318,734,584	395,485,553	484,830,780	588,800,221
Deferred Taxes		86,699,492	86,699,492	86,699,492	86,699,492	86,699,492
Change in working capital		(83,328,886)	68,202,301	(142,042,435)	(58,918,808)	(47,506,856)
Capital Expenditures		-	(357,183,681)	(475,204,587)	(552,396,806)	(642,128,126)
Taxes		6,828,589	(24,034,795)	(32,759,380)	(85,433,624)	(109,827,537)
Total Unleverage Free Cash Flow		(58,086,692)	212,591,876	(4,024,459)	301,949,152	425,174,877
Net Present Value						
Preriod		0	0.25	1.25	2.25	3.25
Discounted Cash Flow			209,243,937.37	(3,715,176.54)	261,569,853.69	345,870,023.65
Total Net Present Value		812,968,638.16				
Terminal Value						
Perpetuity Method						
Unlevered Free Cash Flow	425,174,877					
Growth Rate	2.00%					
L-T WACC	6.56%					
Terminal Value	9,514,667,771					
Net Present Value	7,739,964,288					
Discounted Cash Flow Total Valuation	Perpetuity Method	Relative				
Total of Present Value of Cash Flows	812,968,638					
Present Value of Terminal Value	7,739,964,288					
Add:Minority interest	3,608,672,507					
Add; Cash	78,108,567					
Total Enterprise Value	12,239,714,000					
Net Debt, Non-controlling Interests, Preferred Securities	1,564,087,683					
Equity Value	10,675,626,317					
Share Outstanding	482,579,640					
Estimated Equity Value Per Share	22.12	8.231392				
current price 8.75	153%	-95.07%				
Weighted Target Price	15.18	73.46%				

FCFF						
Unlevered Free Cash Flow		2021A	2022E	2023E	2024E	2025E
EBIT						
Depreciation & amortization		(68,285,887)	136,417,973	137,331,075	110,257,148	52,022,392
Deferred Taxes		0	302,490,587	350,612,486	406,678,139	471,962,072
Change in working capital		86,699,492	86,699,492	86,699,492	86,699,492	86,699,492
Capital Expenditures		(83,328,886)	22,666,868	(116,175,991)	(121,250,415)	(110,626,832)
Taxes		-	(257,183,681)	(298,960,590)	(347,523,739)	(403,975,485)
Total Unleverage Free Cash Flow		6,828,589	(13,641,797)	(13,733,108)	(11,025,715)	(5,202,239)
		(58,086,692)	277,449,441	145,773,365	123,834,909	90,879,400
Net Present Value						
Preriod						
Discounted Cash Flow		0	0.25	1.25	2.25	3.25
Total Net Present Value			272,955,010.55	134,285,614.30	106,777,729.19	73,336,319.15
		587,354,673.19				
Terminal Value						
Perpetuity Method						
Unlevered Free Cash Flo	90,879,400					
Growth Rate	2.00%					
L-T WACC	6.82%					
Terminal Value	1,922,405,025					
Net Present Value	1,551,309,859					
Discounted Cash Flow Total Valuation		Perpetuity Method	Relative			
Total of Present Value of Cash Flows		587,354,673				
Present Value of Terminal Value		1,551,309,859				
Add:Minority interest		3,608,672,507				
Add; Cash		78,108,567				
Total Enterprise Value		5,825,445,606				
Net Debt, Non-controlling Interests, Preferred Securities		1,407,870,549				
Equity Value		4,417,575,056.78				
Share Outstanding		482,579,640				
Estimated Equity Value Per Share		9.15	8.231392			
Current price 8.75		4.62%	-95.07%			
Weighted Target Price		8.69	-0.65%			

Appendix 23: Relative Source: Team Assessment

No.	Company	Effective tax	Depre	Capex	CA2021	CA2020	CL2021	CL2020	Change in NWC	EV	EBITDA	DA/EBITDA	Capex/EBITDA	dWC/EBITDA	1-t	EV/EBITDA
1	APURE	14.85%	90.78	-140.47	1,452.39	984.55	281.37	80.19	266.66	5457.93	70.63	1.28528954	-1.988814951	3.775449526	0.851525	77.274954
2	ASIAN	9.39%	259.12	-243.33	4059.66	3178.46	2316.2	1925.07	490.07	17757.51	790.11	0.32795434	-0.307969776	0.620255407	0.906079	22.474731
3	BR	11.03%	305.85	-246.11	2846.21	2493.57	4033.91	4392.79	711.52	8936.21	215.33	1.42037802	-1.142943389	3.304323596	0.889675	41.50007
4	BRR	2313.24%	296.61	-40.87	2224.25	1491.41	3200.15	2313.46	-153.85	12588.17	528.32	0.56142111	-0.077358419	-0.291206087	-22.1324	23.826791
5	CBG	14.77%	197.33	-185.96	5381.62	3992.25	5427.29	5655.2	1617.28	119704.4	979.98	0.20136125	-0.189758975	1.650319394	0.852337	122.14987
6	CFRESH	7.16%	147.31	-120.8	2799.85	2502.43	2127.88	2712.43	881.97	5457.94	91.14	1.61630459	-1.325433399	9.677090191	0.928427	59.885232
7	CHOTI	20.20%	44.35	-40.9	812.23	685.71	371.77	286.45	41.2	1542.08	12.32	3.59983766	-3.319805195	3.344155844	0.797992	125.16883
8	CM	2.91%	84.93	-62.63	855.26	982.06	245.53	79.1	-293.23	1360.19	22.63	3.75298277	-2.767565179	-12.95757844	0.970949	60.105612
9	CPF	15.86%	26,908.97	-24455.4	216550.2	194669.7	203928	204146.8	22099.35	818225.2	16096.34	1.67174463	-1.519314329	1.372942545	0.841408	50.832996
10	CPI	1.56%	174.74	-94.59	1367.44	1011.2	1741.96	1599.89	214.17	4689.01	238.36	0.7330928	-0.396836718	0.898514851	0.984372	19.671967
11	F&D	48.99%	4.66	-1.27	188.48	178.95	129.36	146.65	26.82	821.37	10.1	0.46138614	-0.125742574	2.655445545	0.510078	81.323762
12	GLOCON	11.34%	98.73	-206.38	840.44	641.03	544.18	376.11	31.34	3631.28	41.14	2.39985416	-5.016528926	0.761789013	0.886578	88.266407
13	HTC	15.17%	309.05	-239.42	1224.1	1171.95	943.61	950.53	59.07	7828.39	204.83	1.50881219	-1.168871747	0.28838549	0.848252	38.218962
14	ICHI	14.68%	581.83	-26.37	1922.85	1663.32	796.02	870.19	333.7	11687.9	627.81	0.92676128	-0.042003154	0.53153024	0.853224	18.616938
15	KBS	2.74%	586.49	-1089.35	2640.92	1733.46	4456.13	3040.35	-508.32	13165.3	970.49	0.60432359	-1.122474214	-0.523776649	0.972617	13.565621
16	KSL	12.98%	1092.05	-210.28	4780.61	4273.64	12012.31	11387.89	-117.45	41898.76	1949.04	0.56030148	-0.107889012	-0.060260436	0.870241	21.497127
17	KTIS	6.98%	1256.25	-581.93	4652.33	4184.97	6507.23	4528.06	-1511.81	31075.91	904.25	1.38927288	-0.643549903	-1.671893835	0.930177	34.366503
18	LST	17.31%	249.86	-249.33	3427.72	2652.16	1312.7	1097.3	560.16	6320.24	282.21	0.88536905	-0.883491017	1.984904858	0.82695	22.395521
19	M	8.55%	489.65	-173.22	8418.01	8309.89	2729.1	2845.12	224.14	53608.59	821.48	0.59605833	-0.21086332	0.272849004	0.914535	65.258546
20	MALEE	11.48%	180.56	-34	1337.44	1226.91	1973.86	2034.57	171.24	4675.33	43.9	4.11298405	-0.774487472	3.900683371	0.885192	106.49954
21	MINT	20.42%	19941.76	-5067.42	48826.74	52064.47	58058.26	41238	-20057.99	459858.1	2605.48	7.65377589	-1.944908424	-7.69838571	0.795772	176.4965
22	NRF	24.48%	156.53	-483.51	1281.65	721.57	566.97	449.11	442.22	10757.92	95.59	1.63751438	-5.05816508	4.626216131	0.755158	112.54232
23	NSL	17.76%	95.54	-33.48	1146.91	566.63	628.18	792.1	744.2	6441.82	237.84	0.40169862	-0.140766902	3.128994282	0.822368	27.084679
24	OISHI	-4.72%	444.92	-85.81	3445.11	2819.18	1589.35	1397.98	434.56	18608.79	1817.23	0.24483417	-0.04722022	0.239133186	1.047249	10.240195
25	OSP	17.25%	1470.82	-2714.92	8827.13	9179.29	5529.57	4557.3	-1324.43	100094.8	2494.78	0.589559	-1.088240246	-0.530880478	0.827491	40.12169
26	PB	0.19%	425.42	-228.05	5678.29	5123.68	978.59	919.41	495.43	30583.2	525.33	0.80981478	-0.434108084	0.943083395	0.998094	58.217121
27	PM	19.33%	102.03	-128.7	1414.62	1369.05	884.84	798.99	-40.28	6477.03	132.59	0.76951505	-0.970661438	-0.30379365	0.806719	48.850064
28	PRG	0.06%	47.7	-56.92	1053.67	650.56	1112.91	841.17	131.37	8995.75	43.8	-1.0890411	1.299543779	-2.999315068	0.999355	-205.38242
29	RBF	19.37%	205.38	-343.58	3038.74	2627.58	552.2	436.64	295.6	25458.43	465.92	0.44080529	-0.737422734	0.634443681	0.806274	54.641204
30	SAPPE	20.53%	46.49	-10.4	2523.69	2361.32	745.47	670.51	87.41	12034.52	242.73	0.19152968	-0.042845961	0.360112059	0.7947	49.579862
31	SAUCE	19.72%	115.05	-54.14	1982.65	1727.46	266.55	247.65	236.29	9719.33	194.4	0.59182099	-0.278497942	1.215483539	0.802825	49.996553
32	SFP	-9.26%	51.12	-24.19	873.33	694.13	347.62	223.54	55.12	3422.91	253.73	0.20147401	-0.095337564	0.217238797	1.092599	13.490364
33	SNNP	16.91%	38.38	-63.52	1702.47	1624.84	926.58	2721.84	1872.89	16902.13	358.27	0.10712591	-0.177296452	5.227593714	0.830949	47.177073
34	SNP	14.65%	706.88	-281.79	1897.8	1548.08	1357.31	1285.71	278.12	8850.98	277.51	2.54722352	-1.015422868	1.002198119	0.853452	31.894274
35	SORKON	18.08%	117.58	-183.1	938.97	885.25	966.98	908.78	-4.48	1665.51	3097.72	0.03795695	-0.059107989	-0.001446225	0.819162	0.5376567
36	SSC	51.62%	624.57	-215.26	2924.67	2720.62	1921.45	1995.45	278.05	10546.71	339.63	1.83897182	-0.633807379	0.81868504	0.483785	31.053529
37	SSF	7.01%	328.49	-194.77	1275.49	1364.03	1064.68	1118.86	-34.36	4343.56	148.72	2.2087816	-1.309642281	-0.231038193	0.929886	29.206294
38	SST	-4.46%	566.59	-237.66	737.11	666.78	1388.72	2009.36	690.97	8027.45	156.14	3.62873063	-1.522095555	4.425323428	1.044617	51.411874
39	TC	0.27%	95.34	-140.62	2253.36	1909.72	760.49	447.83	30.98	3293.58	259.85	0.36690398	-0.541158361	0.119222628	0.997252	12.674928
40	TFG	49.71%	2400.14	-3243.86	15108.61	9955.57	15326.48	8384.62	-1788.82	57554.59	1636.42	1.4667017	-1.98229061	-1.093130126	0.502879	35.171038
41	TFMAMA	12.60%	1213.68	-712.05	17728.09	16225.19	3235.69	2938.24	1205.45	71852.41	1293.96	0.9379579	-0.55028749	0.931597576	0.873969	55.529081
42	TKN	5.39%	175.08	187.12	2128.54	2201.68	1207.49	1357.67	77.04	10866.84	121.1	1.44574732	1.545169282	0.636168456	0.946147	89.734434
43	TVO	19.81%	343.56	-340.82	9852.02	10437.55	3251.43	4195.65	358.69	29452.83	908.61	0.37811602	-0.375100428	0.394767832	0.801921	32.415261
44	W	2.00%	35.63	-73.43	99.47	89.71	451.73	159.31	-282.66	2389.14	-44.99	-0.7919538	1.632140476	6.282729495	0.979972	-53.103801
45	ZEN	20.84%	363.46	-65.32	494.7	461.58	614.21	566.32	-14.72	4833.58	109.16	3.36038701	-0.511464487	-0.136556953	0.7916	44.688357

SUMMARY OUTPUT

Regression Statistics	
Multiple R	0.694383
R Square	0.482168
Adjusted R	0.430385
Standard E	40.82246
Observatio	45

ANOVA

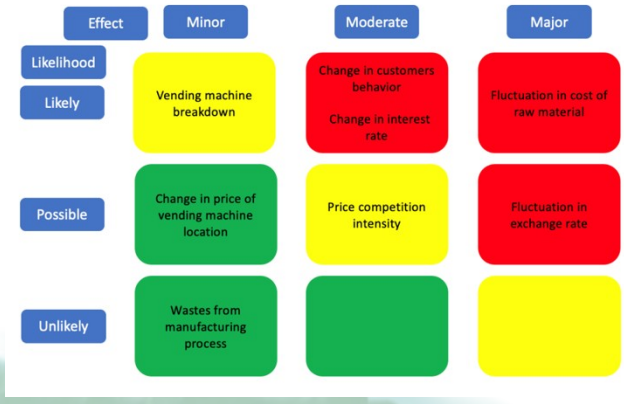
	df	*SS*	*MS*	*F*	*Significance F*
Regressio	4	62068.03	15517.01	9.311287	2.05E-05
Residual	40	66658.92	1666.473		
Total	44	128727			

	Coefficien	*Standard E*	*t Stat*	*P-value*	*Lower 95%*	*Upper 95%*	*Lower 95.0%*	*Upper 95.0%*
Intercept	5.363384	8.787856	0.610318	0.545104	-12.3975	23.1243	-12.3975	23.1243
DA/EBITD	2.112034	5.029948	3.998457	0.000267	9.946129	30.27794	9.946129	30.27794
Capex/EBI	-1.1105	5.558034	-1.81908	0.076391	-21.3437	1.122712	-21.3437	1.122712
dWC/EBIT	-3.66535	1.942225	1.887193	0.066406	-0.26003	7.590736	-0.26003	7.590736
1-t	-0.43313	1.805685	-0.23987	0.811656	-4.08256	3.216295	-4.08256	3.216295

Implied pr	8.231392
Current pr	8.75
Upside	-95.07%

Appendix 24: Risk Assessment Table & Risk Matrix Source: Team Assessment

Risk	Likelihood	Impact	Risk responds
Change in customer behavior	Medium	High	Mitigate
Fluctuation in cost of raw material	Medium	High	Mitigate
Fluctuation in exchange rate	Medium	Medium	Mitigate
Wastes from manufacturing process	Low	High	Mitigate
Change in interest rate	Medium	High	Mitigate
Price competition intensity	Medium	Low	Accept
Vending machine breakdown	Low	High	Mitigate
Price of placing vending machine (rental cost)	Low	Medium	Mitigate



Appendix 25: Blue & Grey Sky Source: Team Assessment



	2022	2023	2024	2025
Base case	24.54%	19.03%	15.17%	10.64%
Revenue growth	71.10%	72.10%	73.10%	74.10%
COGS per sales	15.20%	15.20%	15.20%	15.20%
SG&A per sales	20.00%	20.00%	20.00%	20.00%
TAX rate				
Blue sky	27.54%	22.03%	18.17%	13.64%
Revenue growth	68.10%	69.10%	70.10%	71.10%
COGS per sales	15.20%	15.20%	15.20%	15.20%
SG&A per sales	17.00%	17.00%	17.00%	17.00%
TAX rate				
Grey sky	21.54%	16.03%	12.17%	7.64%
Revenue growth	74.10%	75.10%	76.10%	77.10%
COGS per sales	17.20%	17.20%	17.20%	17.20%
SG&A per sales	20.00%	20.00%	20.00%	20.00%
TAX rate				

Appendix 26: Stress Test Source: Team Assessment

Sensitivity							
Revenue	21.8	COGS per sales	21.8	SG&A per sales	21.8	TAX rate	21.8
14.54%	19.28	61.00%	38.03	5.00%	38.16	10%	21.45
19.54%	20.52	66%	29.94	10%	30	15%	21.62
24.54%	21.8	71%	21.8	15%	21.8	20%	21.8
29.54%	23.09	76%	13.63	20%	13.57	25%	21.99
34.54%	24.4	81%	5.48	25%	5.35	30%	22.2

Appendix 27: Monte Carlo Source: Team Assessment

Intrinsic Value	*Frequency*	*Intrinsic Value*	*Frequency*
THB 0.09	1	THB 12.99	152
THB 0.46	1	THB 13.36	142
THB 0.83	1	THB 13.73	164
THB 1.20	8	THB 14.10	181
THB 1.56	2	THB 14.47	181
THB 1.93	8	THB 14.84	182
THB 2.30	9	THB 15.20	171
THB 2.67	19	THB 15.57	190
THB 3.04	12	THB 15.94	184
THB 3.41	13	THB 16.31	159
THB 3.78	16	THB 16.68	178
THB 4.14	23	THB 17.05	156
THB 4.51	28	THB 17.42	166
THB 4.88	26	THB 17.78	126
THB 5.25	32	THB 18.15	135
THB 5.62	43	THB 18.52	106
THB 5.99	57	THB 18.89	125
THB 6.36	50	THB 19.26	88
THB 6.72	51	THB 19.63	80
THB 7.09	59	THB 20.00	58
THB 7.46	55	THB 20.37	57
THB 7.83	69	THB 20.73	45
THB 8.20	72	THB 21.10	25
THB 8.57	90	THB 21.47	25
THB 8.94	70	THB 21.84	29
THB 9.31	69	THB 22.21	19
THB 9.67	91	THB 22.58	13
THB 10.04	92	THB 22.95	13
THB 10.41	108	THB 23.31	8
THB 10.78	88	THB 23.68	5
THB 11.15	100	THB 24.05	2
THB 11.52	95	THB 24.42	1
THB 11.89	104	THB 24.79	1
THB 12.25	132	THB 25.16	0
THB 12.62	138	More	1

Appendix A: Income Statement (without strategy)

Source: Firm's Financial Statement & Team Assessment

Income Statement	Actual			Forecast				
For the fiscal ending	2018A	2019A	2020A	2021A	2022	2023	2024	2025
Total Revenue (Sales)	4,356,026,410	3,687,087,231	2,575,811,322	2,523,977,984	3,143,274,585	3,741,324,778	4,308,965,397	4,767,404,420
% Growth yoy		-15.36%	-30.14%	-2.01%	24.54%	19.03%	15.17%	10.64%
Cost Of Sales	3,119,203,405	2,853,142,459	1,682,717,217	1,436,814,831	2,234,801,404	2,697,415,625	3,149,762,097	3,532,545,320
Selling and distribution expenses	604,276,166	436,828,614	311,001,624	332,440,076	477,910,618	568,839,530	655,144,901	724,847,013
Total cost of Good sold	3,723,479,571	3,289,971,073	1,993,718,841	1,769,254,907	2,712,712,022	3,266,255,154	3,804,906,998	4,257,392,333
% of Revenue	85%	89%	77%	70%	71%	72%	73%	74%
Gross Profit	632,546,839	397,116,158	582,092,481	754,723,077	430,562,563	475,069,624	504,058,400	510,012,087
Gross profit margin (%)	15%	11%	23%	30%	14%	12.70%	12%	11%
Selling General & Admin Exp.(SG&A)	439,140,641	541,720,254	477,038,964	408,699,925	477,910,618	568,839,530	655,144,901	724,847,013
% of Revenue	10%	15%	19%	16%	15%	15%	15%	15%
Depreciation & Amortization	275,374,665	325,435,021	381,670,305	398,273,687	298,960,590	347,523,739	403,975,485	469,597,250
% of Revenue	6%	9%	15%	16%	10%	9%	9%	10%
Income(loss) on exchange	26,706,492	-	(24,191,743)	(16,035,352)	4,816,000	9,785,191	10,174,233	11,607,555
Operating Income(EBIT)	(55,261,975)	(470,039,117)	(300,808,531)	(68,285,887)	(341,492,645)	(431,508,454)	(544,887,753)	(672,824,621)
EBIT margin (%)	-1%	-13%	-12%	-3%	-11%	-12%	-13%	-14%
Net Interest Exp.	55,992,863	69,945,288	50,909,737	38,688,211	39,178,509	33,614,415	30,337,347	29,134,427
Share of profit from associate	132,661,359	732,668,446	836,967,622	520,178,467	713,289,493	747,001,306	782,306,422	819,280,145
Income/(Loss) from Affiliates (EBT)	21,406,521	192,684,041	485,249,354	413,204,369	332,618,339	281,878,437	207,081,322	117,321,098
Income Tax Benefit(Expense)	(52,283,266)	14,983,118	(3,436,893)	15,397,866	76,134,231	93,024,574	115,045,020	140,391,810
Income Tax Rate	244%	-8%	1%	-4%	-23%	-33%	-56%	-120%
Earnings from Cont. Ops.	(30,876,745)	207,667,159	481,812,461	428,602,235	408,752,569	374,903,011	322,126,342	257,712,907
Other comprehensive income	70,753,760	(237,739,028)	(169,103)	177,456,675				
Net Income	39,877,015	(30,071,869)	481,643,358	606,058,910	408,752,569	374,903,011	322,126,342	257,712,907

Appendix B: Income Statement (with strategy)

Source: Firm's Financial Statement & Team Assessment



Income Statement	Actual				Forecast			
For the fiscal ending	2018A	2019A	2020A	2021A	2022	2023	2024	2025
Revenue from exist operation	4,356,026,410	3,687,087,231	2,575,811,322	2,523,977,984	3,143,274,584.67	3,741,324,778.33	4,308,965,397.48	4,767,404,420.37
Revenue from Vending machine BU						487,206,720	1,374,008,400	2,017,008,000
Total Revenue (Sales)	4,356,026,410	3,687,087,231	2,575,811,322	2,523,977,984	3,143,274,585	4,228,531,498	5,682,973,797	6,784,412,420
% Growth yoy		-15.36%	-30.14%	-2.01%	24.54%	34.53%	34.40%	19.38%
Cost Of Sales	3,119,203,405	2,853,142,459	1,682,717,217	1,436,814,831	2,234,801,404	2,975,123,455	3,932,946,885	4,682,239,880
Selling and distribution expenses	604,276,166	436,828,614	311,001,624	332,440,076				
Total cost of Good sold	3,723,479,571	3,289,971,073	1,993,718,841	1,769,254,907	2,234,801,404	2,975,123,455	3,932,946,885	4,682,239,880
% of Revenue	85%	89%	77%	70%	71%	70%	69%	69%
Gross Profit	632,546,839	397,116,158	582,092,481	754,723,077	908,473,181	1,253,408,043	1,750,026,913	2,102,172,540
Gross profit margin (%)	15%	11%	23%	30%	29%	29.64%	31%	31%
Selling General & Admin Exp.(SG&A)	439,140,641	541,720,254	477,038,964	408,699,925	477,910,618	706,999,530	850,904,901	978,207,013
% of Revenue	10%	15%	19%	16%	15.20%	16.72%	14.97%	14.42%
Depreciation & Amortization	275,374,665	325,435,021	381,670,305	398,273,687	315,204,587	392,396,806	482,128,126	586,435,399
% of Revenue	6%	9%	15%	16%	10%	9%	8%	9%
Income(loss) on exchange	26,706,492	-	(24,191,743)	(16,035,352)	4,816,000	9,785,191	10,174,233	11,607,555
Operating Income(EBIT)	(55,261,975)	(470,039,117)	(300,808,531)	(68,285,887)	120,173,976	163,796,899	427,168,119	549,137,683
EBIT margin (%)	-1%	-13%	-12%	-3%	4%	4%	8%	8%
Net Interest Exp.	55,992,863	69,945,288	50,909,737	38,688,211	47,606,150	79,555,730	94,708,547	95,526,627
Share of profit from associate	132,661,359	732,668,446	836,967,622	520,178,467	713,289,493	747,001,306	782,306,422	819,280,145
Income/(Loss) from Affiliates (EBT)	21,406,521	192,684,041	485,249,354	413,204,369	785,857,319	831,242,475	1,114,765,994	1,272,891,201
Income Tax Benefit(Expense)	(52,283,266)	14,983,118	(3,436,893)	15,397,866	(14,513,565)	(16,848,234)	(66,491,914)	(90,722,211)
Income Tax Rate	244%	-8%	1%	-4%	1.85%	2.03%	5.96%	7.13%
Earnings from Cont. Ops.	(30,876,745)	207,667,159	481,812,461	428,602,235	771,343,754	814,394,241	1,048,274,080	1,182,168,990
Other comprehensive income	70,753,760	(237,739,028)	(169,103)	177,456,675				
Net Income	39,877,015	(30,071,869)	481,643,358	606,058,910	771,343,754	814,394,241	1,048,274,080	1,182,168,990

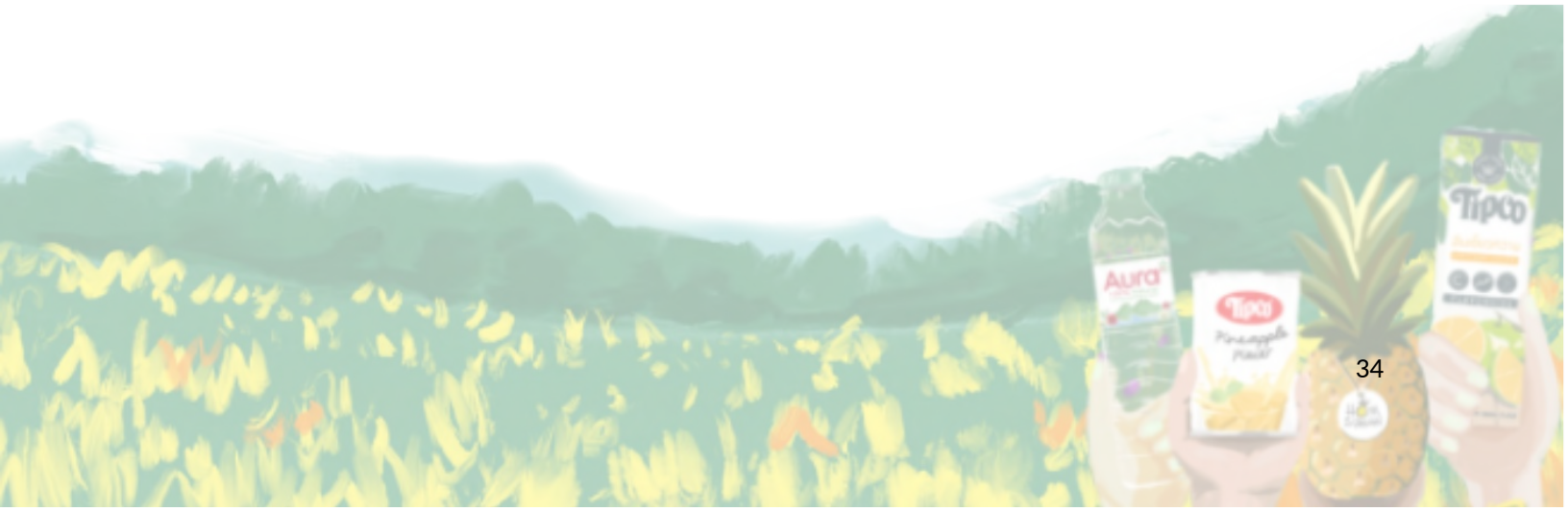
Appendix C: Balance Sheet (without strategy)

Source: Firm's Financial Statement & Team Assessment

Balance Sheet (Unit in THB(	Actual				Forecast			
For the fiscal ending	2018A	2019A	2020A	2021A	2022	2023	2024	2025
ASSETS								
Cash And Equivalents	105,836,016	41,336,348	55,544,446	78,108,567	65,051,272	(17,182,421)	(38,612,372)	(50,114,925
Trading Asset Securities	4,950,897	4,995,108	-	-	-	-	-	-
Accounts Receivable	562,332,118	467,172,764	368,818,881	353,251,481	479,851,469	553,158,355	647,445,036	710,596,565
Inventory	986,474,903	679,465,248	500,542,233	652,076,499	759,795,907	917,077,171	1,085,813,213	1,255,059,349
Other Current Assets	88,320,489	63,544,123	55,604,627	36,163,537	36,163,537	36,163,537	36,163,537	36,163,537
Total Current Assets	1,747,914,423	1,256,513,591	980,510,187	1,119,600,084	1,340,862,185	1,489,216,642	1,730,809,413	1,951,704,526
Net Property, Plant & Equipment	2,287,283,380	2,136,459,223	1,910,737,529	1,583,253,690	1,541,476,781	1,492,913,632	1,436,461,886	1,370,840,121
Long-term Investments	2,917,332,650	3,152,377,079	3,484,327,988	3,608,672,507	4,321,962,000	5,068,963,306	5,851,269,728	6,670,549,873
Goodwill	-	-	-	-				
Other Intangibles	56,193,420	35,575,530	30,389,476	28,239,972	24,709,976	21,621,229	18,918,575	16,553,753
Deferred Tax Assets, LT	47,379,204	72,902,030	69,420,294	86,699,492	86,699,492	86,699,492	86,699,492	86,699,492
Other Long-Term Assets	20,471,350	15,175,467	11,873,551	11,638,975	11,638,975	11,638,975	11,638,975	11,638,975
Total Assets	7,076,574,427	6,669,002,920	6,487,259,025	6,438,104,720	7,327,349,408	8,171,053,275	9,135,798,069	10,107,986,740
LIABILITIES								
Accounts Payable	790,128,580	605,257,788	429,728,365	482,366,345	739,352,609	853,764,768	995,537,076	1,117,307,909
Accrued Expense	-	-	-	-	-	-	-	-
Short-term Borrowings	770,000,000	761,473,861	814,378,606	618,780,547	700,000,000	700,000,000	700,000,000	700,000,000
Curr. Port. of LT Debt	312,500,000	411,950,000	266,880,000	336,880,000	208,851,273	80,822,546	44,043,819	7,265,092
Curr. Port. of Leases	-	859,098	27,586,779	22,456,288	22,456,288	22,456,288	22,456,288	22,456,288
Curr. Income Taxes Payable	10,693,056	4,470,342	-	1,457,851	1,457,851	1,457,851	1,457,851	1,457,851
Other Current Liabilities	79,005,064	59,996,328	62,826,258	66,376,272	66,376,272	66,376,272	66,376,272	66,376,272
Total Current Liabilities	1,962,326,700	1,844,007,417	1,601,400,008	1,528,317,303	1,738,494,293	1,724,877,725	1,829,871,305	1,914,863,411
Long-Term Debt	840,203,341	782,500,000	532,563,150	385,683,150	273,654,423	279,625,696	272,846,969	306,068,242
Long-Term Leases	-	5,386,014	27,439,376	9,852,737	9,852,737	9,852,737	9,852,737	9,852,737
Pension & Other Post-Retire. Benefits	98,360,141	129,244,324	105,155,533	112,326,394	112,341,756	133,716,283	154,003,961	170,388,736
pension as a % of SG&A	2.26%	3.51%	4.08%	4.45%	3.57%	3.57%	3.57%	3.57%
Def. Tax Liability, Non-Curr.	-	-	-	-				
Other Non-Current Liabilities	2,279,600	1,070,480	1,200,480	1,030,480	1,030,480	1,030,480	1,030,480	1,030,480
Total Liabilities	2,903,169,782	2,762,208,235	2,267,758,547	2,037,210,064	2,135,373,688	2,149,102,921	2,267,605,452	2,402,203,606
Equity								
Common Stock	482,579,640	482,579,640	482,579,640	482,579,640	482,579,640	482,579,640	482,579,640	482,579,640
Additional Paid In Capital	-	-	-	-				
Retained Earnings	3,926,971,449	3,898,177,059	4,197,407,501	4,193,556,533	4,984,637,597	5,814,612,231	6,660,854,494	7,498,445,011
Treasury Stock	-	-	-	-	-	-	-	-
Non-controlling interest & and Other	(236,146,444)	(473,962,014)	(460,486,663)	(275,241,517)	(275,241,517)	(275,241,517)	(275,241,517)	(275,241,517
Total Common Equity	4,173,404,645	3,906,794,685	4,219,500,478	4,400,894,656	5,191,975,720	6,021,950,354	6,868,192,617	7,705,783,134
Minority Interest			-	-	-	-	-	-
Total Equity	4,173,404,645	3,906,794,685	4,219,500,478	4,400,894,656	5,191,975,720	6,021,950,354	6,868,192,617	7,705,783,134
Total Liabilities And Equity	7,076,574,427	6,669,002,920	6,487,259,025	6,438,104,720	7,327,349,408	8,171,053,275	9,135,798,069	10,107,986,740

Appendix D: Balance Sheet (with strategy)

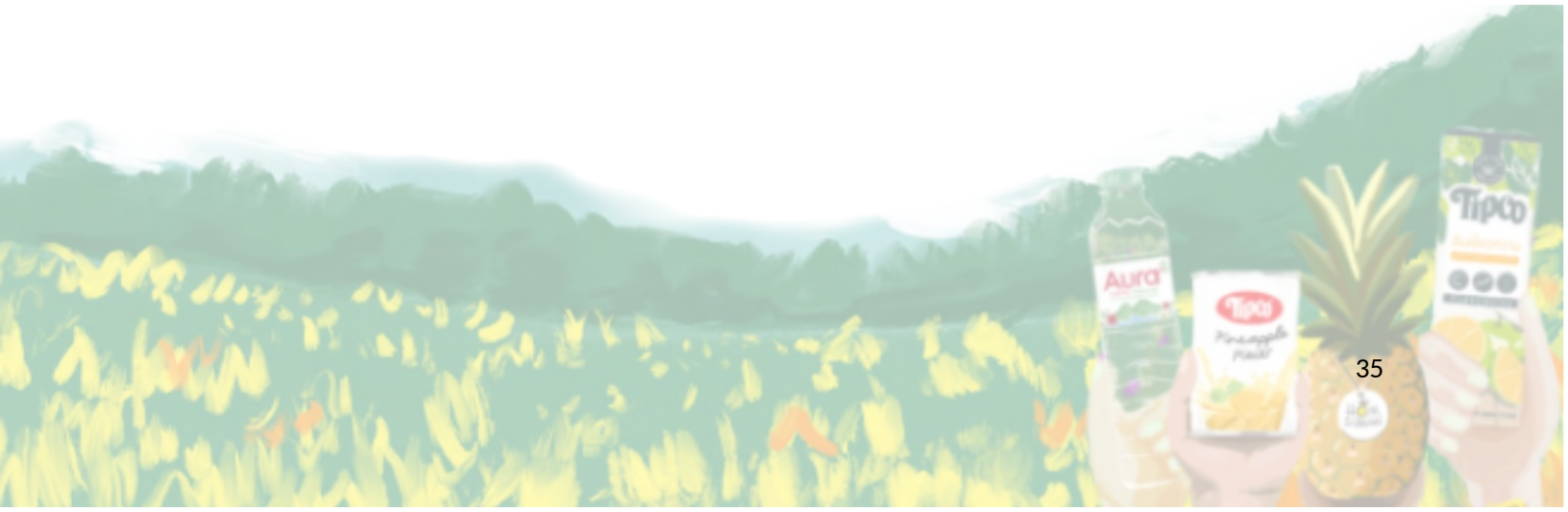
Source: Firm's Financial Statement & Team Assessment



Balance Sheet (Unit in THB(	Actual			Forecast				
For the fiscal ending	2018A	2019A	2020A	2021A	2022	2023	2024	2025
ASSETS								
Cash And Equivalents	105,836,016	41,336,348	55,544,446	78,108,567	221,093,392	174,454,872	242,362,528	170,224,967
Trading Asset Securities	4,950,897	4,995,108	-	-	300,000,000	-	-	-
Accounts Receivable	562,332,118	467,172,764	368,818,881	353,251,481	451,077,105	594,825,670	696,209,072	777,085,781
Inventory	986,474,903	679,465,248	500,542,233	652,076,499	735,304,932	946,285,104	1,207,835,218	1,412,292,176
Other Current Assets	88,320,489	63,544,123	55,604,627	36,163,537	36,163,537	36,163,537	36,163,537	36,163,537
Total Current Assets	1,747,914,423	1,256,513,591	980,510,187	1,119,600,084	1,743,638,966	1,751,729,183	2,182,570,355	2,395,766,461
Net Property, Plant & Equipment	2,287,283,380	2,136,459,223	1,910,737,529	1,583,253,690	1,625,232,784	1,708,040,565	1,778,309,245	1,834,001,972
Long-term Investments	2,917,332,650	3,152,377,079	3,484,327,988	3,608,672,507	4,321,962,000	5,068,963,306	5,851,269,728	5,970,549,873
Goodwill	-	-	-	-				
Other Intangibles	56,193,420	35,575,530	30,389,476	28,239,972	24,709,976	21,621,229	18,918,575	16,553,753
Deferred Tax Assets, LT	47,379,204	72,902,030	69,420,294	86,699,492	86,699,492	86,699,492	86,699,492	86,699,492
Other Long-Term Assets	20,471,350	15,175,467	11,873,551	11,638,975	11,638,975	11,638,975	11,638,975	11,638,975
Total Assets	7,076,574,427	6,669,002,920	6,487,259,025	6,438,104,720	7,813,882,192	8,648,692,750	9,929,406,370	10,315,210,526
LIABILITIES								
Accounts Payable	790,128,580	605,257,788	429,728,365	482,366,345	731,622,703	944,309,004	1,248,323,713	1,486,150,523
Accrued Expense	-	-	-	-	-	-	-	-
Short-term Borrowings	770,000,000	761,473,861	814,378,606	618,780,547	700,000,000	625,000,000	825,000,000	925,000,000
Curr. Port. of LT Debt	312,500,000	411,950,000	266,880,000	336,880,000	208,851,273	80,822,546	(5,956,181)	(192,734,908)
Curr. Port. of Leases	-	859,098	27,586,779	22,456,288	22,456,288	22,456,288	22,456,288	22,456,288
Curr. Income Taxes Payable	10,693,056	4,470,342	-	1,457,851	1,457,851	1,457,851	1,457,851	1,457,851
Other Current Liabilities	79,005,064	59,996,328	62,826,258	66,376,272	66,376,272	66,376,272	66,376,272	66,376,272
Total Current Liabilities	1,962,326,700	1,844,007,417	1,601,400,008	1,528,317,303	1,730,764,387	1,740,421,961	2,157,657,942	2,308,706,026
Long-Term Debt	840,203,341	782,500,000	532,563,150	385,683,150	1,237,654,423	1,709,625,696	2,022,846,969	1,836,068,242
Long-Term Leases	-	5,386,014	27,439,376	9,852,737	9,852,737	9,852,737	9,852,737	9,852,737
Pension & Other Post-Retire. Benefits	98,360,141	129,244,324	105,155,533	112,326,394	112,341,756	151,129,225	203,111,512	242,477,321
pension as a % of SG&A	2.26%	3.51%	4.08%	4.45%	3.57%	3.57%	3.57%	3.57%
Def. Tax Liability, Non-Curr.	-	-	-	-				
Other Non-Current Liabilities	2,279,600	1,070,480	1,200,480	1,030,480	1,030,480	1,030,480	1,030,480	1,030,480
Total Liabilities	2,903,169,782	2,762,208,235	2,267,758,547	2,037,210,064	3,091,643,782	3,612,060,099	4,394,499,640	4,398,134,806
Equity								
Common Stock	482,579,640	482,579,640	482,579,640	482,579,640	482,579,640	482,579,640	482,579,640	482,579,640
Additional Paid In Capital	-	-	-	-				
Retained Earnings	3,926,971,449	3,898,177,059	4,197,407,501	4,193,556,533	4,764,900,287	5,329,294,528	6,077,568,607	6,709,737,597
Treasury Stock			-	-	(250,000,000)	(500,000,000)	(750,000,000)	(1,000,000,000)
Non-controlling interest & and Other	(236,146,444)	(473,962,014)	(460,486,663)	(275,241,517)	(275,241,517)	(275,241,517)	(275,241,517)	(275,241,517)
Total Common Equity	4,173,404,645	3,906,794,685	4,219,500,478	4,400,894,656	4,722,238,410	5,036,632,651	5,534,906,730	5,917,075,720
Minority Interest			-	-	-	-	-	-
Total Equity	4,173,404,645	3,906,794,685	4,219,500,478	4,400,894,656	4,722,238,410	5,036,632,651	5,534,906,730	5,917,075,720
Total Liabilities And Equity	7,076,574,427	6,669,002,920	6,487,259,025	6,438,104,720	7,813,882,192	8,648,692,750	9,929,406,370	10,315,210,526
Shares outstanding	482,579,640	482,579,640	482,579,640	482,579,640	482,579,640	482,579,640	482,579,640	482,579,640

Appendix E: Cash Flow Statement (without strategy)

Source: Firm's Financial Statement & Team Assessment



Cash flow Statement (in Million THB)	Actual				Forecast			
For the fiscal ending	2018A	2019A	2020A	2021A	2,022	2,023	2024	2025
Pretax income	21,406,521	192,684,041	485,249,354	413,204,369	408,752,569	374,903,011	322,126,342	257,712,907
Depreciation & Amort.	275,374,665	325,435,021	381,670,305	398,273,687	302,490,587	350,612,486	406,678,139	471,962,072
Provision for long term employee Benefi	19,975,943	38,447,724	15,453,022	13,259,821	15,362	21,374,527	20,287,678	16,384,774
Gain(Loss) From reversal	(24,831,984)	41,284,426	(4,439,174)	(12,498,745)	-	-	-	-
(Gain) Loss On Sale Of Invest.	(132,661,359)	(732,668,446)	(836,967,622)	(520,178,467)	(713,289,493)	(747,001,306)	(782,306,422)	(819,280,145)
Asset Writedown & Restructuring Costs	850,678	18,905,288	4,003,045	3,554,198	-	-	-	-
Other	25,986,481	(830,667)	2,177,898	1,817,251	-	-	-	-
changes in operating assets and liabilities	186,100,945	(116,742,613)	47,146,828	297,432,114	(2,030,975)	(111,282)	(33,214,263)	(73,220,392)
Change in Acc. Receivable	10,088,309	95,626,653	97,091,250	16,956,588	(126,599,988)	(73,306,886)	(94,286,680)	(63,151,530)
Change In Inventories	(43,472,335)	263,584,701	185,682,189	(139,232,521)	(107,719,408)	(157,281,265)	(168,736,042)	(169,246,136)
change in other current assets	9,149,966	37,363,289	4,356,214	16,254,450	-	-	-	-
Other Non-Current assets	(13,688,481)	(5,243,825)	3,301,916	234,577	-	-	-	-
Change in Acc. Payable	25,210,953	(177,188,119)	(161,971,632)	46,017,179	256,986,264	294,456,771	168,797,632	143,962,583
Other Current Liabilities	43,463,985	(24,327,822)	2,770,493	2,731,479	-	-	-	-
cash paid for long term employee benefi	(14,190,277)	(7,563,541)	(55,463,866)	(6,088,959)	-	-	-	-
Change in Other Operating activities	(144,997,440)	(80,063,653)	(52,909,564)	(37,543,029)		-	-	-
Cash from Ops.	57,665,625	(14,554,930)	70,003,828	196,761,878	20,635,893	63,757,339	(127,439,353)	(161,655,474)
Capital Expenditure	(43,819)	(44,211)	-	-	(257,183,681)	(298,960,590)	(347,523,739)	(403,975,485)
Sale of Property, Plant, and Equipment	3,407,759	3,610,886	924,554	433,930	-	-	-	-
Cash Acquisitions	(535,344,017)	(175,857,540)	(91,425,809)	(63,118,204)	-	-	-	-
Divestitures		-	-	-	-	-	-	-
Sale (Purchase) of Intangible assets	(5,907,813)	(1,418,632)	(3,255,916)	(259,500)	-	-	-	-
Invest. in Marketable & Equity Securt.	332,893,494	258,917,162	517,834,324	573,316,573	-	-	-	-
Net (Inc.) Dec. in Loans Originated/Sold	79,621	69,825	5,047,372	15,295	-	-	-	-
Other Investing Activities	-	-	-	-	-	-	-	-
Cash from Investing	(204,914,775)	85,277,490	429,124,525	510,388,094	(257,183,681)	(298,960,590)	(347,523,739)	(403,975,485)
Short Term Debt Issued	49,154,533	(8,526,139)	52,904,745	(195,598,059)	700,000,000	700,000,000	700,000,000	700,000,000
Long-Term Debt Issued	443,253,341	406,746,659	18,663,150	200,000,000	16,000,000	134,000,000	30,000,000	70,000,000
lease paid	-	(369,145)	(24,831,914)	(26,131,271)				
Short Term Debt Repaid	-	-	-	-	(618,780,547)	(700,000,000)	(700,000,000)	(700,000,000)
Long-Term Debt Repaid	(197,500,000)	(365,000,000)	(413,670,000)	(276,880,000)	(256,057,454)	(256,057,454)	(73,557,454)	(73,557,454)
Issuance of Common Stock	-	-	-	-	-	-	-	-
Common Dividends Paid	(241,287,170)	(236,461,549)	(168,895,973)	(424,664,732)	-	-	-	-
Common Stock repurchase	-	-	-	-	-	-	-	-
Special Dividend Paid	-	-	-	-	-	-	-	-
Other Financing Activities	-	-	-	-	-	-	-	-
Cash from Financing	53,620,704	(203,610,174)	(535,829,992)	(723,274,062)	(158,838,001)	(122,057,454)	(43,557,454)	(3,557,454)
Net change in cash	(93,628,446)	(132,887,614)	(36,701,639)	(16,124,090)	(395,385,789)	(357,260,706)	(518,520,547)	(569,188,413)
Foreign Exchange Rate Adj.								
Net Change in Cash								

